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Research

Twenty Miles That Shook the World

Analyzing the impact of the Iran conflict and charting a new normal in the Strait of Hormuz

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Twenty miles, the width of the Strait of Hormuz (SoH) at its narrowest point, was enough to trigger the largest single disruption of global energy supply in recorded history and a far broader shock to the world economy. This report is being published following the US and Iran having signed a June Memorandum of Understanding (MoU) intended to reopen the Strait, broadening the key questions from the scale of disruption to the shape and speed of recovery.

When Iranian forces effectively closed the Strait in late February 2026, the immediate damage was visible in energy markets. Brent crude oil rose from roughly \$61 per barrel at the start of the year to more than \$120 at the peak, European natural-gas prices nearly doubled, and the IEA compared the scale of the disruption to both oil shocks of the 1970s happening at once.

To describe the episode simply as an energy crisis is to understate what happened. The same narrow passage also trapped fertilizer trade, disrupted petrochemical and industrial feedstocks, constrained helium supply critical to semiconductors and elsewhere, and repriced shipping, insurance, routing, and inventories. What emerged was not one shock but several layered on top of one another.

Report objectives: to gauge the crisis's broad impacts and assess how quickly normalization can proceed, once a lasting reopening agreement emerges. Furthermore, the report aims to identify changes to the global landscape that could prove permanent. With several key markets having been affected, we adopt a sectoral approach to addressing these issues that complements macro approaches.

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This report provides a bottom-up roadmap from the physical disruption to its economic consequences. The macro analyses it complements include those by Deutsche Bank's macroeconomics research team, as well as analysis from the IMF, OECD, World Bank, and others. It does so by tracing the crisis impacts and likely recovery paths sector by sector and then drawing broader conclusions about inflation, market pricing, resilience, and the post-crisis global operating environment.

Following this introduction, the report is organized in three parts. This structure is important because the central lesson of the report is that not all sectors normalise at the same speed. Financial prices can move first, shipping lanes next, production later, and downstream consumer effects later still.

Part 1: State of Play and Path to Normalization. Here we first review the maritime status of the SoH, based on our [dbDataInsights](#) team's analysis of the cargo volume collapse, stranded vessels and recent crossings. Next, we discuss why the path to normalization will be protracted, not expeditious. The impediments are diplomatic, physical, and psychological. We analyse the risks around the MoU as evidenced by Iran's claiming the reclosure of the Strait just days after the "deal" was signed. We also review constraints on production and shipping that will add several months or more to normalization.

Part 2: Structural Implications. This section begins by assessing the macroeconomic effects of the crisis that can be gleaned from the sectoral analysis that follows. Here we compare our bottom-up findings with top-down macro estimates produced by Deutsche Bank's macro research team as well as by major international institutions. We then enumerate the top ten structural economic and geopolitical changes that we see as having been set in motion, reinforced, or exposed by the crisis. These include, among others, a persistent risk premium around the SoH, more investment in route diversification, a world economy with more redundancy and higher operating costs, a stronger shift towards security-driven energy-transition, more geopolitical fragmentation, higher defence spending, and a weaker commitment to regional nuclear non-proliferation.

Part 3: Sectoral Analysis. This part, which drives the rest of the report, examines the eight key sectors directly impacted by the SoH closure. They include: shipping and maritime logistics, crude oil, refined petroleum products, liquefied natural gas, fertilizers, petrochemicals, helium, and aluminum.

Each sector is presented using the same four-part structure, enabling comparison of transmission channels across markets:

- (i) pre-war baseline, establishing why the sector mattered globally and how exposed it was;
- (ii) war-induced disruption, identifying the specific impairments to trade, production, and pricing;
- (iii) recovery considerations, physical normalization, price and supply effects; and
- (iv) implications, including the impact on costs, pricing, trade, corporate behaviour and ultimately, consumers.



Conclusion 1: Normalization will be phased, uneven, and slower in the physical economy than in market prices. The report stresses a distinction between a diplomatic reopening and a full operational recovery. We expect diplomatic reopening to resume soon given strong economic incentives on both sides of the conflict. On the operational side, our [dbDataInsights](#) analysis shows the backlog of vessels trapped in the SoH as of mid-June would represent a week or more of pre-crisis daily exits. While an agreed reopening may allow for immediate vessel movement, various impediments persist. Transit activity will be constrained by factors like port congestion from inventory rebuilding, bunkering needs, complex insurance processing, and a scarcity of viable rerouting passageways. Many logistical pressures can be alleviated within several months once a sustainable reopening is agreed and assuming mine clearing has progressed. But major shipping companies may need more time to gain confidence that hostilities have subsided, and security and safety concerns have been addressed. Needed repairs to some facilities will take years before full normalization can occur, with expected supply diversification contributing to a new normal.

Conclusion 2: The inflation shock was temporary, but price level impacts will be more lasting. Oil, oil product and LNG prices have already reversed some or much of their spike as reopening has come into view, and we expect them to move gradually lower from recent levels, with Brent crude ending the year in the \$75-80 per barrel range. This will still be noticeably above pre-war levels as inventories and reserves are rebuilt. That reversal will allow some substantial easing in headline inflation, but non-energy inflation will remain more elevated due to lagged pass-through from earlier energy increases, together with cost increases in other affected sectors. Consequently, these prices should remain materially higher over the longer term than they otherwise would have been. Relative to energy, shipping and petrochemicals added smaller effects through traded goods and manufacturing inputs. Fertilizers mattered mainly through lagged food-price effects, while helium and aluminum were more important as bottlenecks for selected industrial and technology chains than as major direct CPI drivers. Taken together, the sector work is consistent with a cumulative increase in consumer price level in the range of 0.5–1.5 percentage points globally this year under a constructive reopening scenario, with exposed importers in Europe and parts of Asia nearer the upper end and insulated economies nearer the lower end.

Conclusion 3: The crisis will have fundamental economic and geopolitical impacts lasting far beyond its immediate resolution. Elevated risks to transiting the SoH are here to stay. This will stimulate investment in diversification via alternative routes around the Strait as well as switching to other sources of supply like the US. It also ties energy security and energy sustainability more closely, likely stimulating greater investment in renewables. Firms and governments will place greater weight on redundancy, strategic inventories, supply-chain resilience, and defense of critical infrastructure. This means a global economy that is both more expensive and less frictionless. We will also be looking at a world that is likely trending more toward geopolitical fragmentation, and less toward nuclear nonproliferation, especially in the Gulf region.

Part 1: State of Play and Path to Normalization From Disruption to Potential Resolution



The closure of the Strait of Hormuz...

In late February 2026, the closure of the SoH by Iranian forces sent immediate shockwaves through energy markets. The International Energy Agency (IEA) compared the scale of disruption to experiencing both oil shocks of the 1970s simultaneously. Framing this as an energy crisis, however, is misleading. Ultimately, the impact has been significant across several markets and commodities.

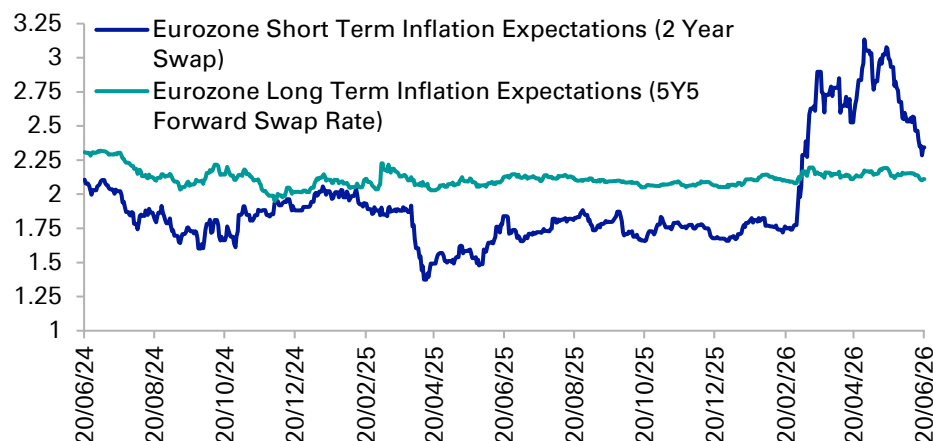
The subsequent US blockade, enacted in early April 2026, was enforced on vessels traveling to and from Iranian ports and significantly raised the risk of broader military conflict in the waterways. Beyond increased insurance premiums, shipping costs and transit times, the blockades significantly impacted supply chains and commodity prices leading to near-term inflationary pressures and goods shortages.

The fragile "reopening" of the Strait of Hormuz...

After more than three months of disruption, a Memorandum of Understanding (MoU) was signed by the US and Iran last week. As outlined in more detail below, the deal extended the ceasefire by 60 days for negotiations.

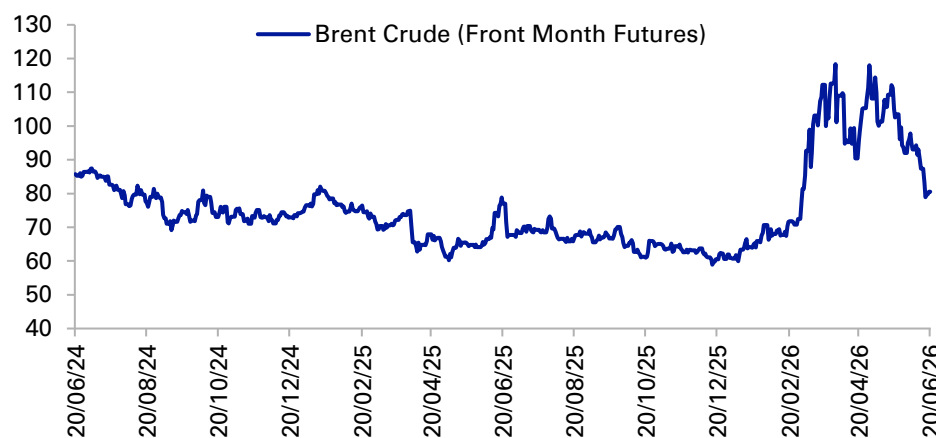
The MoU signing provided the conditions for a phased resumption of trade flows through the SoH. Consequently, Iran resumed limited safe transits while the US lifted its naval blockade, though US Naval vessels remain in the "general area", allowing traffic from Iran to be "in proportion" to transits restored by Iran. But on 20 June, days after signing, Iran announced reclosure of the Strait, citing Israeli strikes in Lebanon as a ceasefire breach, a claim the US disputed. This underscores the short notice reversibility of the reopening and the fragility of the MoU.

Eurozone inflation expectations
(%)



Source: Bloomberg Finance, LP, Deutsche Bank

Brent crude (front month futures)
(USD/bbl)



Source: Bloomberg Finance, LP, Deutsche Bank

Part 1: State of Play and Path to Normalization

Key Regional Ports in the Persian Gulf



Key regional ports in the Persian Gulf



Key regional ports inside the Gulf (in order of importance):

1. Jebel Ali (UAE):

- The region's dominant commercial hub by overall logistics importance, combining large scale container throughput with connectivity across the Gulf, South Asia, East Africa and Europe.

2. Khalifa Port (UAE):

- The second major Gulf gateway, with rising container and industrial cargo significance and strong integration with Abu Dhabi's manufacturing and logistics base.

3. King Abdulaziz Port (S. Arabia):

- The largest Saudi Arabian commercial port on the Gulf and a major inbound/outbound cargo node, important for containers, general cargo and industrial supply chains.

4. Bandar Abbas (Iran):

- Iran's principal commercial gateway and a key node for containerized, general and project cargo, though its international role was already constrained by sanctions.

5. Hamad Port (Qatar):

- Qatar's main commercial gateway. Strategically important for containerized imports and non-hydrocarbon trade, even though its tonnage profile differs from the larger UAE and Saudi hubs.

Regional alternatives outside the Gulf

1. Yanbu (Saudi Arabia):

- A Red Sea outlet linked to westbound pipelines, providing limited bypass capacity, but ramping since March.

2. Fujairah (UAE):

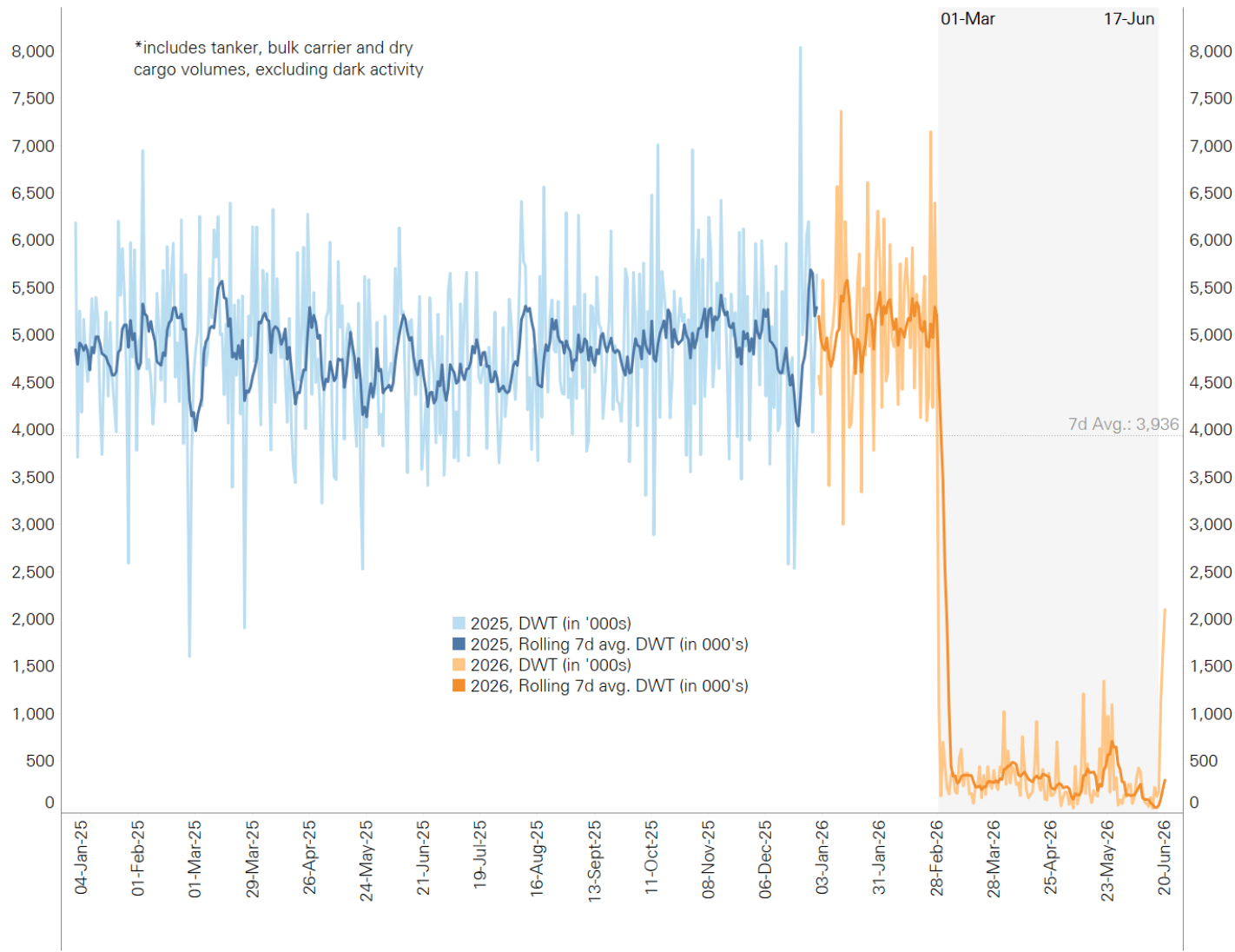
- An east-coast hub on the Gulf of Oman, key for bunkering and storage, and the most immediate fallback, but faced attacks during the conflict.

Part 1: State of Play and Path to Normalization

Depth of SoH Commercial Cargo Volume Loss



Blue-water commercial cargo volumes exiting the Strait of Hormuz (from 2025) (DWT in '000s)



Notes on tracking vessels and volumes transiting the Strait of Hormuz.

Daily averages (1 March – 17 June):

- Prior to the crisis, daily exits from the SoH averaged c.70 “blue water” commercial vessels, with an estimated daily capacity of 5.1m DWT. Following the crisis and up to MoU signing, this plummeted to c.9 vessel exits per day, with estimated daily capacity of ~300K DWT (c.6% of pre-crisis levels).
- Our estimates discussed above include some dark activity as we were able to monitor several vessels exiting the strait with transponders off by cross-referencing departure logs from Persian Gulf ports with subsequent arrival records outside the SoH, or transits confirmed by the media. That said, if we use estimates for total dark activity since 1 March, it will point to daily transits in the low teens.

Dark activity:

- Dark activity (vessels concealing their identity or location) increased after the crisis began. Pre-crisis this tactic was generally only deployed by Iranian ships evading sanctions.
- Estimated pre-conflict dark activity was in the low-single digits for daily transit exits, (implied c.3-6 vessels).
- Kpler estimates that 40% of all transits through the SoH since 1 March occurred as “dark”, with higher levels as the crisis continued (especially for tankers).
- Non-Iranian operators made up a sizeable proportion of the increase in dark activity as they sought to avoid conflict and go undetected.

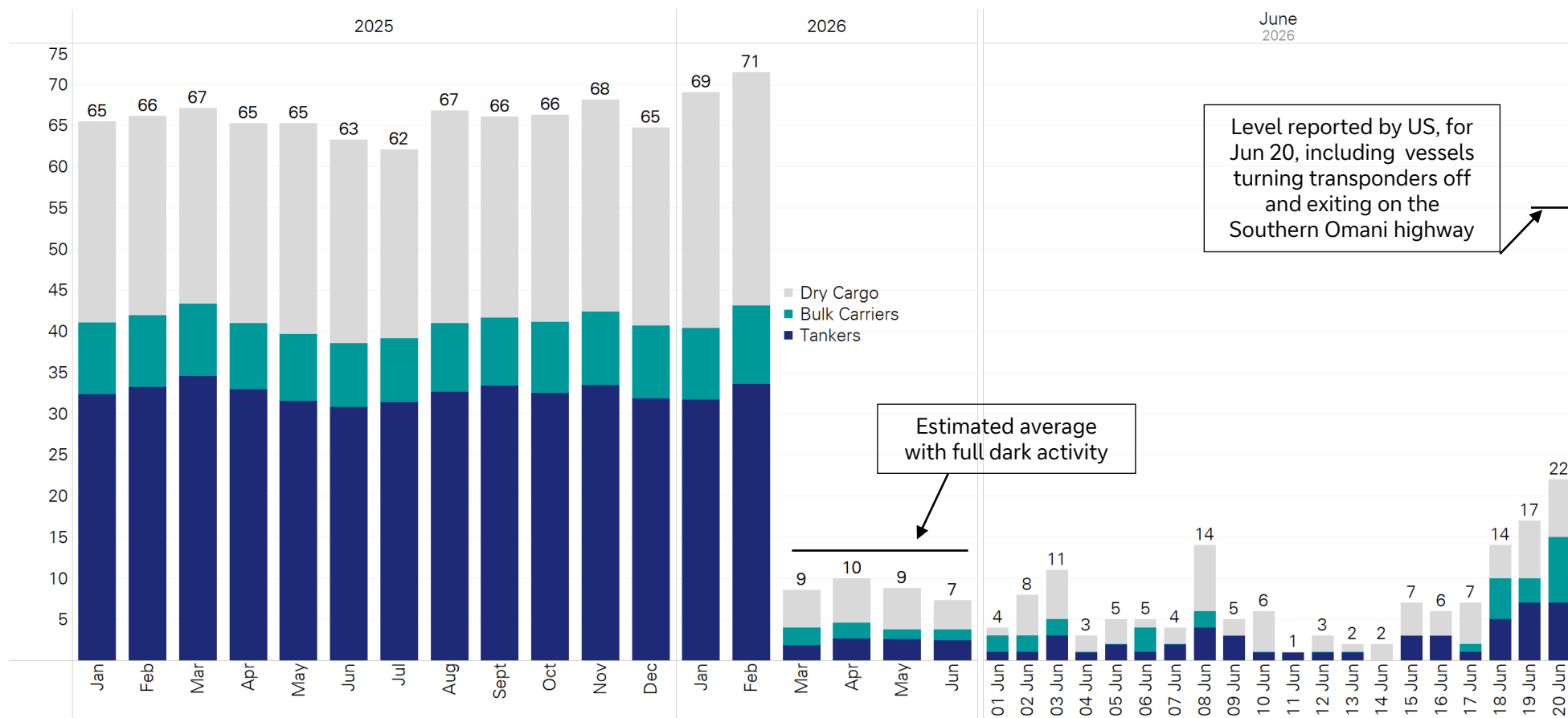
Source: dbDataInsights

Part 1: State of Play and Path to Normalization

Depth of SoH Commercial Cargo Volume Loss



Blue-water commercial cargo tankers exiting the Strait of Hormuz (from 2025)
(Vessel count)



Source: dbDataInsights

Note: Pre-crisis figures do not account for 'dark activity' (estimated 3-6 vessels per day with transponders off, mainly Iranian tankers). Following the crisis, we implemented a methodology to estimate partial dark activity by cross-referencing Persian Gulf port departures with confirmed arrival records outside the SoH, and media reports. Based on this, our recorded average daily vessel crossings from March to mid-June were nine. However, if we were to triangulate all estimated dark activity, average daily crossings during this period would likely have been in the low-teens. Dark activity appears to have picked up significantly since the MoU was signed as the U.S. Central Command said 55 commercial ships passed through the strait on 20 June.

Part 1: State of Play and Path to Normalization

Stranded Vessels Inside the Persian Gulf



Assessing stranded vessels...

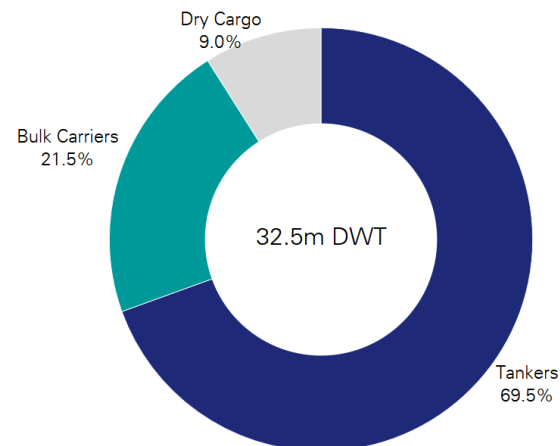
- Our analysis at the signing of the MoU showed that among the roughly 2,600 vessels in the SoH, we considered 582 as “stranded” from a commercial cargo perspective, with an estimated capacity of 32.5 Deadweight Tonnage (DWT). This equates to 6-8 days of pre crisis traffic exiting the SoH. The type of vessel is important as the capacity of a common size tanker could be 6x that of an average cargo ship in DWT.
- Amongst the stranded vessels, we were able to identify the country of beneficial ownership of 471 ships (accounting for c.92% estimated DWT). Greece, China/HK and Japan had the most exposure. Looking at Persian Gulf countries, the UAE had the highest total at 6.6%.

Crossings have picked up since the MoU was signed but have subsided since Iran “reclosed” the SoH...

- Our data showed an increase in total vessel exits from the SoH since the MoU was signed, with more 20 vessels exits on Saturday, 20 June, the day Iran “reclosed” the Strait. In fact, U.S. Central Command said on the day that 55 commercial ships passed through the strait that day, implying many vessels turned off their transponders. There were reports of vessel crossings on the Sunday, but at slightly lower levels, though this appears to have picked up in both directions on Monday, 22 June, with further crossings into the SoH pointing to optimism.
- From here, transits may occur by way of the “Southern Highway” through Omani waters as the US advises and monitors this route. The Joint Maritime Information Center (JMIC) has also confirmed it is clear of mines.

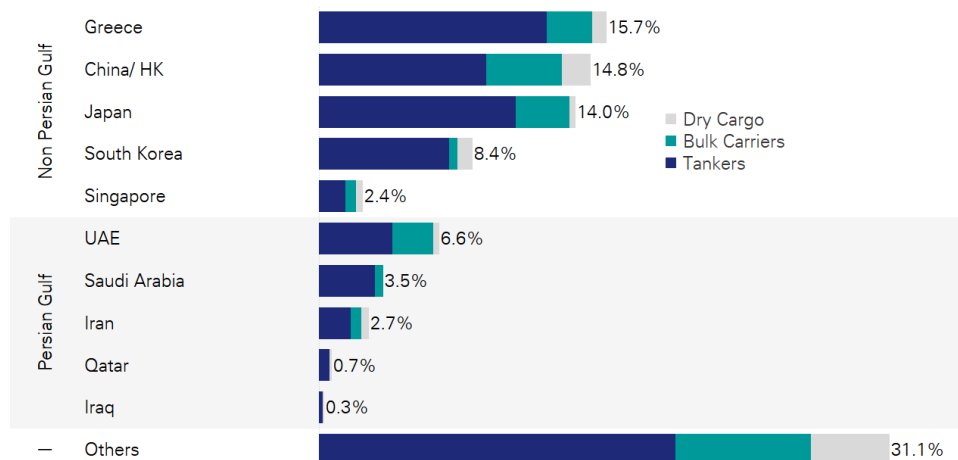
Commercial cargo ships stranded in the Persian Gulf

(582 vessels as of 15 June, % of estimated DWT)



Stranded commercial cargo ships by country

Denominator = 471 ships with identifiable country affiliation)



Source: Bloomberg Finance, LP, Deutsche Bank

Part 1: State of Play and Path to Normalization

The MoU: Key Provisions and Risks



Key provisions now implemented by the signed MoU...

- **Cease-fire framework extended to all fronts, including Lebanon.** The MoU establishes an immediate cease-fire between the US and Iran and their respective allies, with the text explicitly covering Lebanon alongside reciprocal commitments to sovereignty, territorial integrity, and non-interference.
- **A 60-day interim window, not a final settlement.** The MoU is structured as a sequencing and implementation framework with a maximum 60 day negotiating period, leaving the war's permanent resolution, sanctions architecture, and nuclear and regional security questions to a later, final deal.
- **Phased military drawdown and Iranian Strait commitment.** US to remove naval blockade within 30 days and withdraw forces within 90 days. Iran commits to safe, toll-free Strait passage for 60 days while retaining future role in longer-term governance alongside Oman and Gulf states.
- **Phased sanctions relief.** Immediate removal of humanitarian designations, secondary/tertiary sanctions removed within 45 days; permanent architecture negotiated in final deal. Nuclear sanctions, explicitly deferred.
- **Nuclear enrichment remains to be addressed.** Iran has restated its previous commitment on this issue, but important details on down-blending, transfer, conversion or other neutralisation and especially verification will be the central technical and political test of the MoU.

Diplomacy risks...

- **Lebanon reescalation and Strait governance asymmetry.** Lebanon cease-fire inclusion is the deal's most fragile element – Iran has invoked Israeli strikes in Lebanon to justify Strait closure, showing third-party conduct can trigger unrelated disruption. US blockade removal is on fixed schedule in the MoU; Iran's Strait commitment has proved reversible with disputed cease-fire violations.
- **Sanctions relief political unsustainability.** US Congressional opposition to Iran sanctions easing and Trump Administration's unpredictability create risk of unilateral US rollback of sanctions relief mid-sequence. Iran views Strait closure as justified response to US violations; asymmetric sanctions relief reversal creates mutual recrimination and induces reescalation.
- **Most significantly for the regional order, the MoU points to future arrangements for Iran's enriched material rather than locking in irreversible neutralization now.** That risks setting a precedent that closing, or threatening to close, the Strait can extract sanctions relief and military disengagement before nuclear issues are resolved, weakening non-proliferation credibility and encouraging Saudi Arabia, the UAE or others to hedge toward their own enrichment capability.

Part 1: State of Play and Path to Normalization

Impediments to Reopening (Non-Diplomatic)



Physical and security frictions...

- **Mine clearance and routing constraints:** central SoH exit routes are restricted at present due to mines. This includes the International Maritime Organization (IMO)-recognized Traffic Separation Scheme that runs through both Iranian and Omani waters. These lanes must be cleared and certified. Optimistic estimates point to several weeks, with some reports suggesting six months.
- **Security guarantees:** shipmasters and owners may wait for proof of mine-free routes, accepted escorts and stable rules before committing crews and assets.
- **Port capacity and bunkering delays:** damaged or offline berths and long queues at regional ports will constrain bunkering and turnaround, especially at congested ports.
- **Vessel inspection/repairs:** ships idled may need hull, machinery, seaworthiness checks; repair-yard slots, spares, and class/flag approvals; this may add days/more.
- **Crew fatigue & rotation:** stranded crews need relief, shore leave, medical support and repatriation; expired contracts and depleted stores can delay departures.
- **Port and infrastructure repairs:** some locations could take significant time as detailed elsewhere in this report.
- **Residual controls:** inspections, toll or service-charge demands, escort requirements and monitoring could keep throughput below nominal capacity.
- **Increased congestion:** inventory buffering strategies will likely increase stockpiling, further contributing to port congestion and strain on logistics networks.

Commercial and sequencing impediments...

- **Early sequencing:** oil and LNG are likely prioritized over other cargoes, with expectations for early outflows to Asia.
- **Uneven first movers:** national companies controlling their own shipping (UAE, Kuwait, Iran) and holders of stored volumes are likely to move first, especially to Asia.
- **Flag/ownership asymmetry:** Greece-, China- and UAE-linked vessels that kept transiting may retain greater tolerance or preferential treatment.
- **War-risk insurance:** cover may be available, but case-by-case pricing is still cited around 1–4% of vessel value per transit versus below 0.1% pre-war; a \$200m tanker can add \$2m–\$8m, pointing to concern over the outsized impact vessel damage (e.g., oil spills, pollution, etc.).
- **Higher transit costs:** insurance, escorts, fuel, congestion, inventories and supply-chain reorganization likely keep costs above pre-crisis levels.
- **Congestion:** efforts to rebuild inventories and supply-chain reorganization will add to initial crowding in both directions.
- **European exposure:** Europe remains more exposed to Qatari LNG and refined products, especially jet fuel, sustaining supply-chain and inflation pressure.
- **Sanctions and compliance lags:** even with sanctions lifted, banks and insurers may take months to change internal compliance restraints and resume dealings. That said, press reports have suggested that pre-crisis, Iran has been able to evade sanctions to some degree.



Several transport and materials exposed companies have pointed to 2027 for normalization assuming a mid-year opening. A constructive reopening should be viewed in phases, with the early part of Phase 1 having occurred the last few days as several vessels, including large tankers, have transited out of the SoH, while others have begun to position themselves to enter from the Strait of Oman.

- **Phase 1: Safety and bottlenecks (~1-2 months):** Crew and vessel safety concerns will likely keep several major shippers from immediately resuming operations in the region. From a logistical perspective, mine-clearing, lane-certification (especially central routes), and high war-risk insurance approvals will cause delays. Bunkering availability and congestion from vessel repositioning/ backlogs will add to bottlenecks.

Sheikh Nawaf, CEO of Kuwait Petroleum Corp, stated on 18 June that Kuwait aims to “exceed 2 mb/d within a week, and resume pre-war production within weeks, pending the availability of international commercial shipping to reach Kuwaiti ports.” Shippers willing to take on these risks and logistics should be able to exit via the Southern Omani route, monitored by the US and partners. What is unclear, at present, is the ability to transit along the northern Iranian route.

In recent days, tankers eager to leave the region for Asia appear to be turning transponders off to avoid detection. Despite this activity, vessel placement remains a critical issue. As Saudi Aramco's CEO noted in May, the “biggest issue is the tanker fleet,” with vessels in “the wrong places” requiring time to “reassemble.”

- **Phase 2: Improved logistics with caution (~2-4 months):** Mine-clearing estimates suggest central pathways through the Strait may not be fully cleared at this stage (some estimates point to 6 months for clearance), but overall logistics should improve with some backlog cleared. The war-risk premium will likely still be in effect, with major shipping companies still slow to return. The precedent here being the Red Sea/Gulf of Aden situation, where sporadic attacks caused dramatic resets for years, suggests a high level of caution will continue.

- **Phase 3: Partial recovery, continued war-risk premium (~4-6 months):** A decent level of flow could be expected, assuming hostilities have subsided enough to establish confidence, and mines have mostly been cleared. Key questions involve the level of regional friction and whether all major shippers will fully return.

- **Can full normalization occur in 2027 – the 4th Phase?**

Full operational normalization, involving infrastructure repairs, is not expected until 2027 and beyond. Critical facilities, such as Qatar's Ras Laffan LNG complex, face multi-year recovery timelines, with some specialized repairs estimated to take up to five years.

We expect a structural shift, rather than a temporary workaround, as exposed countries and companies strategically invest in diversified supply chains and alternative routes to reduce risk. This should drive increased demand for LNG and oil from the US, Russia, and non-OPEC countries, in addition to efforts to expand pipeline capacities like Yanbu (Saudi Arabia) and Fujairah (UAE), and overland transport through Syria (from Iraq).



What the sector work suggests...

- **Sector pattern:** Energy dominates the consumer-price effect. Crude is the largest channel, with refined products next through diesel, jet fuel, freight and transport. Shipping and petrochemicals add smaller second-round effects through traded goods, packaging and manufactured inputs, while helium and aluminium matter more as bottlenecks than as broad CPI drivers. Fertilisers mainly affect prices through delayed food channels, since the shock works through farm-input costs, planting decisions and then retail food prices with a lag.
- **Sector ranges:** Crude appears to have added roughly 0.3–0.8pp to headline inflation in major importers, with refined products adding another 0.1–0.3pp, especially in Europe and Asia. Shipping and petrochemicals likely added only modest increments. Fertiliser plus diesel and freight likely raised food commodity prices by around 4–5%, but only about 0.2–0.3% overall consumer food prices so far because retail food prices adjust with a lag.
- **Rough macro view:** A rough takeaway is a cumulative inflation effect of about 0.5–1.5pp globally under a constructive reopening scenario. That should be read as an order-of-magnitude range, not a precise forecast, with Europe and parts of Asia toward the upper end and the US and China nearer the lower end. The broad message is a meaningful but uneven inflation shock, dominated by energy and amplified by transport and food channels.

Why aggregation is difficult and how it compares with macro estimates...

- **Double counting:** Adding sector estimates is inherently imprecise. Crude feeds into refined products and petrochemicals; diesel and shipping both affect food; and some sectors affect availability more than prices. Timing matters because pass-through depends on inventories, margins, regulation, subsidies and repricing speed.
- **A cross-check.** Sector-by-sector summation is better read as a bound than a forecast. OECD input-output analysis helps in principle, but the framework is not granular enough to cleanly separate overlapping effects across the Hormuz-exposed sectors. The results are therefore best viewed as a cross-check on macro estimates rather than stand-alone projections.
- **Deutsche Bank World Outlook:** DB's early-June World Outlook is broadly consistent with the sectoral range. Under a mid-year reopening baseline, DB estimated the disruption would add about 1.4pp to 2026 inflation in the euro area, 0.9pp in the US, 0.7pp in Japan and India, and 0.3pp in China. A more protracted disruption would push those forecasts materially higher.
- **IMF/OECD/World Bank:** These estimates point in the same direction. The OECD and World Bank revised 2026 global inflation up by nearly 1.5pp relative to pre-war projections, while the IMF revised it up by somewhat less. This is best read as validation rather than exact one-for-one comparability, given differences in aggregates, timing and baseline assumptions.

Part 2: Structural Implications

Economic, Market and Policy Implications



Beyond commodity and consumer prices, the crisis also generated a broader risk-off episode in financial markets.

Equities sold off, bond yields rose as investors repriced inflation and put off expectations of policy easing. Currencies in energy-import-dependent economies came under pressure.

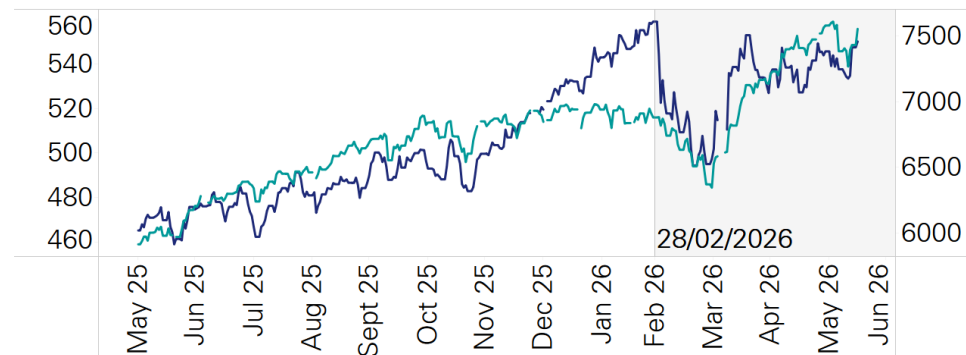
The macro damage therefore ran not only through physical shortages and higher consumer prices, but also through tighter financial conditions for a time and weaker confidence. These channels amplified the growth drag in exposed regions, even if headline equity indices later recovered more quickly than the underlying supply shock.

Central-bank policy implications...

- The inflation shock materially changed the anticipated paths of monetary policy. DB's macro view of the ECB shifted from a path that would hold policy rates unchanged well into 2027 to the expectation of two rate hikes before the end of summer. The first of those hikes occurred in June as the surge in imported energy prices lifted inflation and risked de-anchoring expectations.
- The US faced much less immediate pressure from energy imports, now being a significant net exporter. But the jump in global energy prices and other anticipated price pressures caused the outlook for Fed policy to move in a similar direction. Longstanding market expectations of Fed rate cuts later this year shifted to no change in policy and eventually to a possible rate increase. DB's US economics team sees Fed policy rates unchanged over the year ahead.

Equity markets

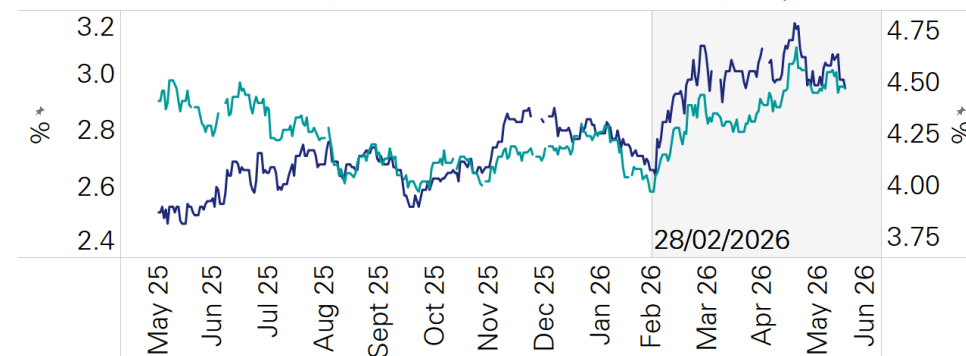
← Europe: STOXX 600 Price Index (in US\$), CoP Dec 31, 1991 = 100
S&P 500 Stock Price Index, 1941-43 = 10 →



Source: STOXX Limited, Standard & Poor's/ Haver Analytics

Bond markets

← Germany: Central Govt Securities: 9 to 10 years, % p.a.
10-Year Treasury Note Yield at Constant Maturity, % p.a. →



Source: Deutsche Bundesbank, Federal Reserve Board/ Haver Analytics



War risk cost: The post-crisis economy is unlikely to return fully to the old equilibrium. Instead, the most probable outcome is a higher-friction global economy characterized by increased war-risk premiums, greater inventory buffering, more diversified supply chains, higher hedging costs, and a renewed corporate and policy emphasis on resilience over efficiency. This shift also includes significant geopolitical changes, with some spanning both economic and geopolitical realms.

Economic implications...

- **A lasting risk premium in the Strait of Hormuz.** This will be the most immediate permanent change on transit through the SoH. The conflict has shown that Iran can assert control over the waterway with an impact not fully understood pre-crisis. Lessons learned during this period will leave firms and governments reluctant to assume that this chokepoint can be treated as reliably secure, even in more "normal" times.
- **War-risk cost structure: more inventory, redundancy and an upward shift in costs.** The post-conflict economy is unlikely to return fully to the old efficiency-first equilibrium. Companies and governments are instead likely to hold more inventory, maintain more redundancy, spend more on insurance, hedging and transport, and accept more duplication of routes and suppliers. The main macro consequence is not necessarily permanently higher inflation in the long run, but a more persistent upward shift in costs and price levels and a world economy that is structurally more expensive to operate.
- **The resilience equation has changed.** Substantial reserves had already been built for crude oil and gas going into this crisis, but SoH related disruption proved governments and companies will need to broaden this basket to meet a resilience standard. This will include refined fuels, petrochemicals, fertilizers, food, metals, critical minerals and other industrial and materials inputs whose interruption can cascade rapidly through supply chains and consumer prices.
- **Energy transition policy is likely to become (even more) security-driven.** The link between energy transition and security strengthened after the Russia-Ukraine war and is further solidified by the US-Iran conflict. Governments will prioritize investments in renewables, power grids, storage, nuclear generation, and electrified transport not just for climate reasons but to reduce reliance on imported fuels and vulnerable shipping routes. Concurrently, many states may continue to secure fossil fuel access in the near term, making the transition more strategic and less purely decarbonization-driven.
- **Regional supply diversification and circumvention.** Major importers in Asia and Europe are likely to seek more diversified energy and commodity supplies, including both Gulf product that circumvents the SoH and more non-Gulf oil, gas and refined products where infrastructure permits. Over time, that could redirect trade flows toward the US and elsewhere, support new long-term contracts, and encourage fresh investment not only in domestic storage and power resilience but also in pipelines, terminals, rail links and other bypass routes that reduce dependence on a single chokepoint.



Economic and geopolitical implications...

- **The new reality of low-cost coercion.** Cheap drones, missiles and disruption tactics have shown that relatively low-cost capabilities can threaten shipping, ports, refineries, power systems and major militaries. The growing ascendancy of drones was already evident in the Russia-Ukraine war and has been further confirmed in the Iran conflict, where relatively inexpensive systems and proxy-enabled attacks have been able to impose outsized disruption risk. That lowers the threshold for coercion, raises the cost of protecting infrastructure and commerce, and gives middle-tier powers and proxy networks more leverage over the global economy than traditional force rankings alone would imply.
- **Regional tension and realignment of Gulf states, highlighted by the UAE's departure from OPEC.** Gulf states will increasingly prioritize strategic autonomy, export-route redundancy, and diversified security relationships. The United Arab Emirates' exit from OPEC, effective 1 May 2026, exemplifies this, driven by a desire for full control over its oil production and to meet national economic goals. More broadly, this could mean more investment in westbound pipelines, Red Sea and Mediterranean outlets where possible, a broader mix of security partnerships, and greater willingness to hedge between Washington, Beijing and other external powers.

Geopolitical implications...

- **The conflict reinforces a global shift towards a fragmented world order with competing security and trade blocs.** States are likely to make more economic and diplomatic choices through a geopolitical lens, including sourcing, sanctions alignment, technology partnerships and strategic commercial relationships. For example, some countries may deepen ties with Western security and financial systems while others expand arrangements with China, Russia or more non-aligned networks to preserve room for manoeuvre under sanctions and supply stress.
- **The conflict will leave a durable legacy of higher spending on missile defence.** The SoH crisis highlighted the need for maritime security, port and pipeline protection, air defence and grid resilience. An important part of that is likely to be investment in lower-cost drone interceptor technologies, including systems better suited to counter large volumes of relatively inexpensive UAVs without relying only on costly high-end interceptors. This implies a more costly global infrastructure model in which critical assets are designed and financed with disruption risk more explicitly in mind.
- **Weaker confidence in the regional non-proliferation order will be of the most consequential long-run risks.** Even if few states openly move to acquire nuclear weapons, some of Iran's neighbours may place more value on nuclear latency, missile capability, civilian fuel-cycle options and stronger deterrence relationships. The result could be a gradual erosion of confidence in the non-proliferation treaty (NPT) framework and a more proliferation-prone regional security environment.



Part 3: Sectoral implications



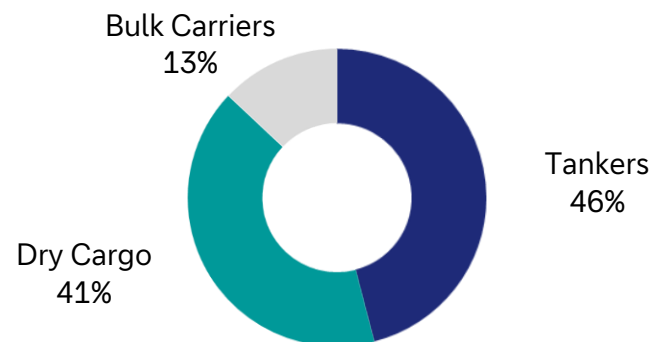


Before the war, the SoH was more than just a critical shipping route for oil and gas markets. It was a high-value, multi-cargo potential chokepoint. The baseline matters because even partial disruption quickly feeds through into freight, insurance, inventories and a variety of important regional supply chains. Consequently, disrupted trade activity carried outsized economic importance relative to its share of total shipping.

- **Traffic density:** Approximately 140 vessel transits per day during Jan-Feb 2026 on a broad cargo-and-tanker definition. This is equally split between vessels entering/exiting the Gulf.
- **Traffic composition:** Nearly half of the economically significant transits were dominated by tanker class vessels, which made up c.72% total volume in Deadweight Tonnage (DWT) terms. Crude oil tankers accounted for c.76% of this volume, followed by chemicals/oil products (16%) and LNG (8%). Per day, ~29 dry cargo/passenger ships exited the SoH followed by nine bulk carriers. The corridor also carried c.2.8% of global container trade and c.2.4% of global dry-bulk trade.
- **Energy concentration:** about 20mb/d of crude and products (3/4 of it crude), or c.25% of global seaborne oil trade, moved through the strait in normal conditions. In total, just over 70% of exports transited to Asia, while c.4% were sent to Europe.
- **LNG focus:** Qatar- and UAE-linked sailings accounted for close to one-fifth of global LNG trade. In total, ~90% of exports transited to Asia, with ~10% sent to Europe.

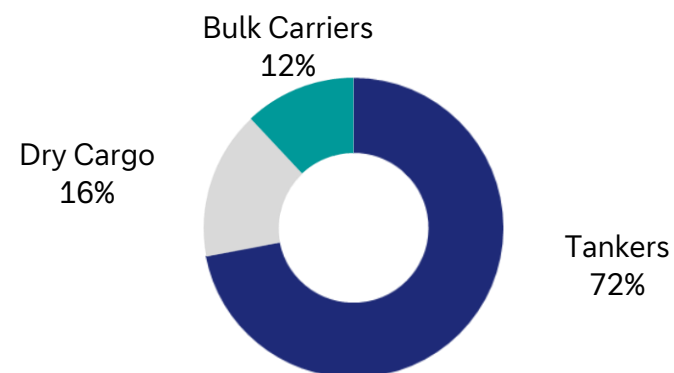
Daily vessel exits from the SoH Pre-War (% of total vessels)

Vessels per day, average of 70 per day



Daily vessel exits from the SoH pre-war (% of daily capacity, DWT)

Daily exits by capacity, average of 5.1M DWT



Source: IHS, dbDataInsights



At peak disruption, 85-95% of normal Hormuz trade flows were effectively blocked. The near total cutoff of commercial shipping through the SoH resulted from three compounding mechanisms:

- 1. Iranian interdiction and insurance collapse.** Iranian authorities imposed restrictions on vessel transit, including toll demands and selective interference with commercial shipping. Attacks on, and physical risk to, hulls and crews prompted war-risk underwriters and Protection & Indemnity (P&I) clubs to either withdraw insurance coverage entirely or reprice it at cost-prohibitive levels. The effect was a soft closure as even vessels with navigational access could not move commercially insurable cargo, functionally freezing the market before any formal blockade was imposed. Iranian cargo was getting through at this point, as well as vessels that were paying tolls to Iran.
- 2. US blockade of Iranian ports.** The enforcement of this blockade, together with interdiction and redirection risk for vessels attempting to serve them, converted the soft closure into a near-hard one on 13 April, 2026. Commercial operators now faced a broader enforcement regime rather than just narrower risk around Iranian-flagged or Iranian-affiliated shipping. Some vessels were able to slip through, but these reflected exceptions rather than a functioning market.
- 3. Physical degradation of infrastructure at key Gulf facilities.** The largest shipping-relevant damage was concentrated at Bandar Abbas and Shahid Bahonar on the Iranian side. Elevated risk conditions were also prevalent at Fujairah in the UAE.

Factors behind the initial increase in shipping rates following the closure of the Strait of Hormuz...

- Several tankers were trapped inside the strait and unable to leave, while some were waiting outside the Strait in case of a quick re-opening, with both contributing to the removal of effective capacity from the market.
- Several ships that had just loaded were already en route to buyers, and not yet available for re-routing, which also removed effective capacity from the market,
- Ships were largely out of position to service emerging trade routes resulting from cargoes and volumes available at other ports, which also limited effective available capacity in the market.
- Buyers of crude and refined oil products were scrambling to secure cargoes and volumes, resulting in several unusual long-haul (less efficient) trading patterns, tying up additional effective capacity. This explains why freight and shipping rates went up despite effective volumes of crude oil and other energy commodities being down.

Why rates retreated from peak levels as the closure of the Strait persisted...

- Some tankers were able to escape or leave the region to re-position to other trade routes.
- More volumes being diverted from the SoH via pipeline and truck before being exported at alternative ports.
- More countries started drawing down crude inventories rather than buying additional seaborne cargoes.



In the near-term, we expect shipping rates to move higher initially and then begin to normalize over time as trade routes move back to efficiency. Shipping rates tend to spike during periods of rapid change or disruption. We would expect rates to react positively, at least initially, in a sustained re-opening scenario. This is largely due to similar dynamics which characterise the initial closure including:

- Ships being out of position to immediately service volumes from inside the SoH and needing to re-position.
- Likelihood of confusion, congestion, and slow loading and transiting of the SoH during the initial re-opening.
- Several countries needing to restock inventory levels that were drawn down over the past several months.

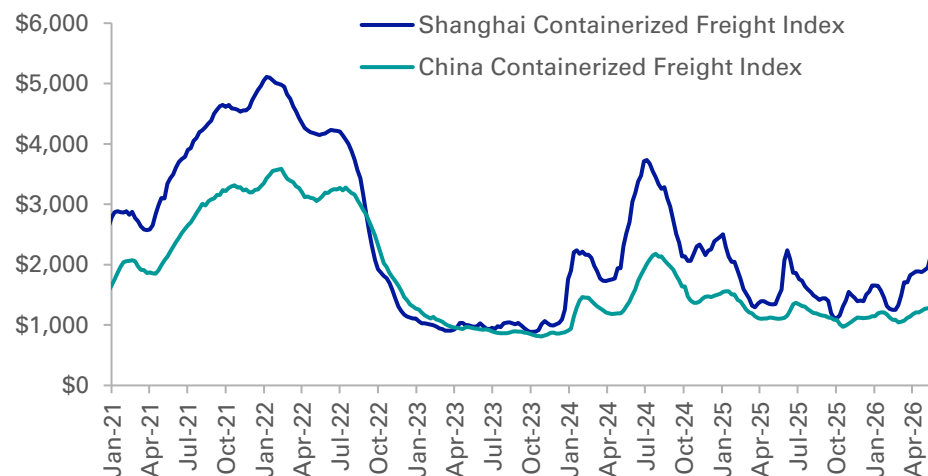
Impact of inventory and congestion will have an impact near-term but normalization in the SoH will not occur for 6-12 months, with longer term implications.

- Addressing damage to ports in the region will take some time and, in some cases, (e.g. LNG) several years.
- Longer term, owners and operators expect global trade to evolve towards supply diversification, regionalization and de-globalization. This may not necessarily imply less trade, but rather lower logistical efficiencies, more strategic storage requirements, and higher redundancies in supply chains. This combination should be fundamentally supportive for shipping tonne-mile demand and rates. When voyages are longer, loading/discharge is slower and less efficient, and vessels reroute or avoid unsafe or dangerous regions, the result is the same: less effective available supply

For container ships, the greater regional exposure is in the Red Sea and Suez Canal, which is important.

- There is a question of whether increased stability in the SoH could have a significant knock-on implication for the Red Sea. Given the Houthis' alignment with Iran, de-escalation in the SoH might lead to a reduction in aggression. This, in turn, could instil greater confidence among shipping companies to resume operations through the Red Sea-Suez Canal route, potentially reducing the rerouting of vessels around the Cape of Good Hope that has occurred in recent years.

Container freight export rates
(\$/teu)



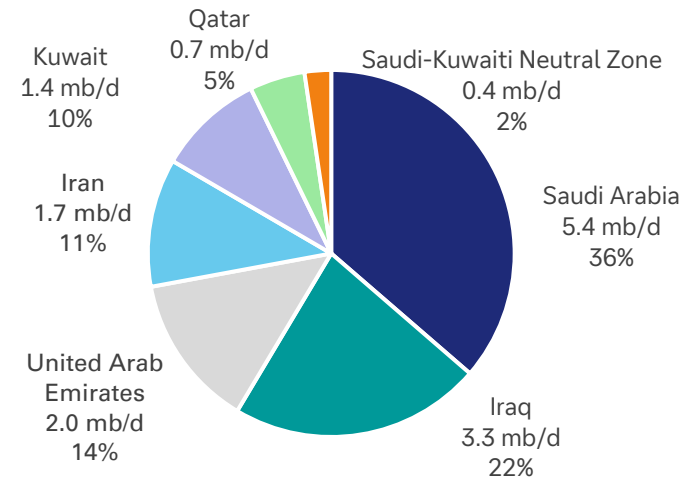
Source: Clarksons Research Services Limited, Shanghai Shipping Exchange, Deutsche Bank



- **Global relevance:** Gulf producers most exposed to the SoH (Saudi Arabia, Iraq, the UAE, Iran, Kuwait, Qatar, and Bahrain) accounted for a large share of globally traded crude. The key point is not just their production size, but export concentration: much of the world's marginal seaborne supply and most spare capacity sat behind a single chokepoint. Overall, the exports from the region accounted for ~22% of global oil demand in 2025.
- **Geographic exposure:** Asia is the main destination for Gulf crude, while Europe and the US were more exposed through price, refining and product-channel effects. For the US in particular, DB's macro framing is important: the issue is less headline energy independence than refinery-quality mismatch and global price pass-through.
- **Normal flow pattern:** in 2025, roughly 15-16 mb/d of crude transited the SoH. More than 80% was destined for Asia, with China and India alone taking roughly 45% of crude flows. Another 2.0-2.5 mb/d was exported through Saudi Arabia's East-West system from Yanbu on the Red Sea and the UAE's Habshan-Fujairah pipeline exiting on the Gulf of Oman. These were normally operating well below full capacity. Another ~5 mb/d of oil products was exported via the Strait.
- **Why crude mattered first:** unlike many industrial commodities, crude is globally fungible and forward-priced, so even a localized transit shock immediately reprices benchmarks, cracks spreads, freight and inflation expectations. That is why crude became the fastest macro transmission channel from the conflict into broader markets.

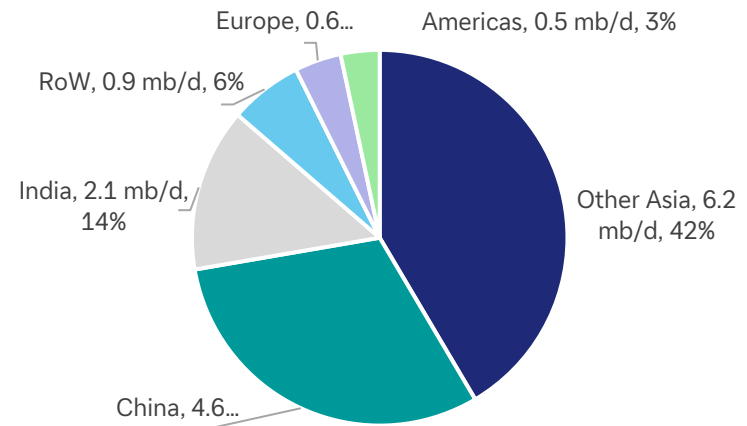
Crude oil exports via the SoH in 2025

(exports – 15 mb/d)



Crude oil exports via the SoH by destination

(% in 2025)



Source: IEA



The crude shock was not a single event; it moved through shipping, storage, infrastructure and then production.

1. Shipping paralysis and shut-ins

- As tanker liftings collapsed and onshore/floating storage filled, Gulf producers were forced into emergency shut-ins and operational curtailments.
- Not all shut-ins are cleanly reversible. Prolonged interruptions can reduce near-term output efficiency, delay well restarts and leave export systems restarting faster than upstream production.

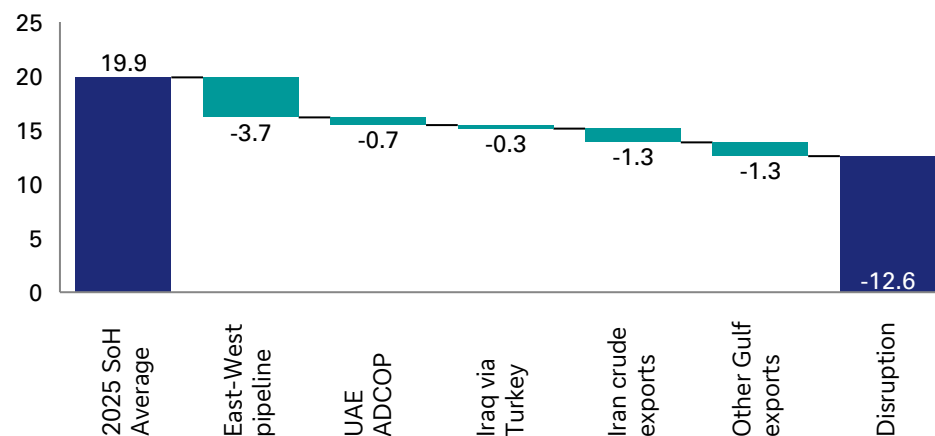
2. Direct war damage

- Attacks or shutdowns affected KSA facilities around Ras Tanura/Abqaiq and the East-West system and caused repeated disruption at Fujairah/Habshan in the UAE, while there were wider strikes across Gulf refining, terminal and support infrastructure.
- Iraq avoided the worst physical damage but cut southern field output sharply as exports could not clear. Thus, the shock increasingly became physical as well as logistical.

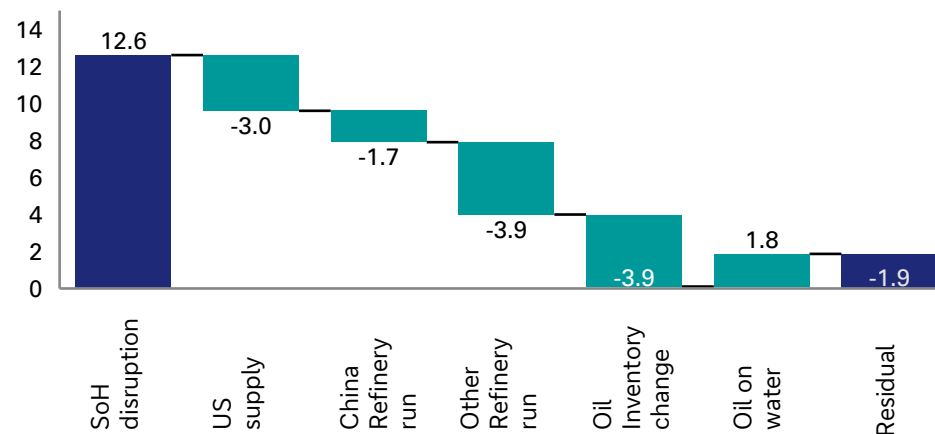
3. Overall supply loss:

- In April, the estimated supply loss from the SoH region was 12.6 mb/d, compared to a 2025 baseline of 19.9. Approximately 4.4 mb/d of this loss was offset by rerouting crude through Saudi Arabia's East-West pipeline to Yanbu port and the UAE's ADCOP pipeline connecting to Fujairah port.
- The supply shock was cushioned by a sharp draw on inventories, especially in the US and lower refinery runs from China and rest of the world.

Physical disruption of oil supply in April (millions of barrels per day)



Reconciling Gulf disruption & global inventory change (Apr) (millions of barrels per day)



Source: IEA, Reuters, Bloomberg Finance LP, Kpler, Deutsche Bank



IEA stock release...

- The IEA's March coordinated action made roughly 400mn barrels of emergency stocks available to the market, with the US carrying a large share of the burden via a planned 172mn-barrel Strategic Petroleum Reserve (SPR) release over roughly 120 days.

US cushion thinned...

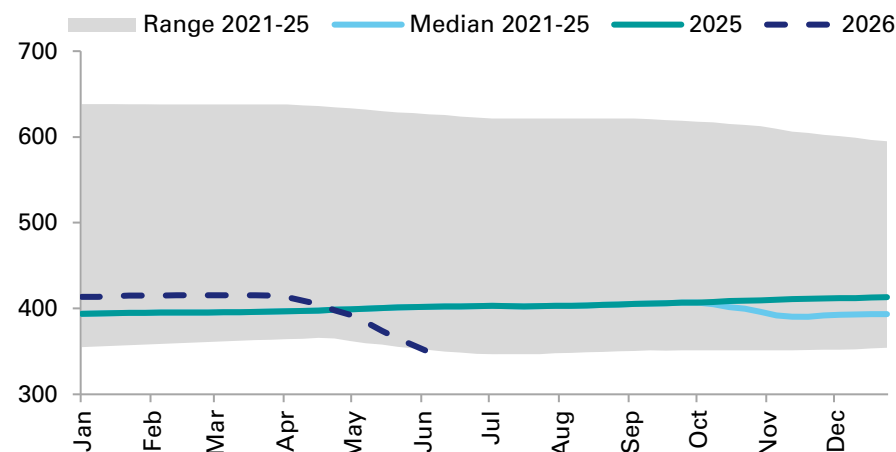
- The US SPR stood at roughly 415mn barrels at the start of the release programme, had already fallen to the mid- to high-300s by late May, and would fall to roughly 243mn barrels if the full planned release were complete, its lowest level since the early 1980s.
- Physical drawdown had also been running slower than awards suggested by late May, reflecting cavern and discharge constraints rather than a change in policy intent.

Broader system still had cover...

- Other major holders, especially Japan, Korea and parts of OECD Europe, retain substantial cover and remain above the IEA's 90-days-of-net-imports framework.
- At present, the system is not close to exhaustion in an aggregate sense, but the marginal buffer is clearly thinner than it was at the start of the crisis, meaning that if more meaningful transit totals were delayed significantly further, the market would shift increasingly from a stock-release story to a rebuilding-cost story.

US Strategic Petroleum Reserve (SPR) crude stocks

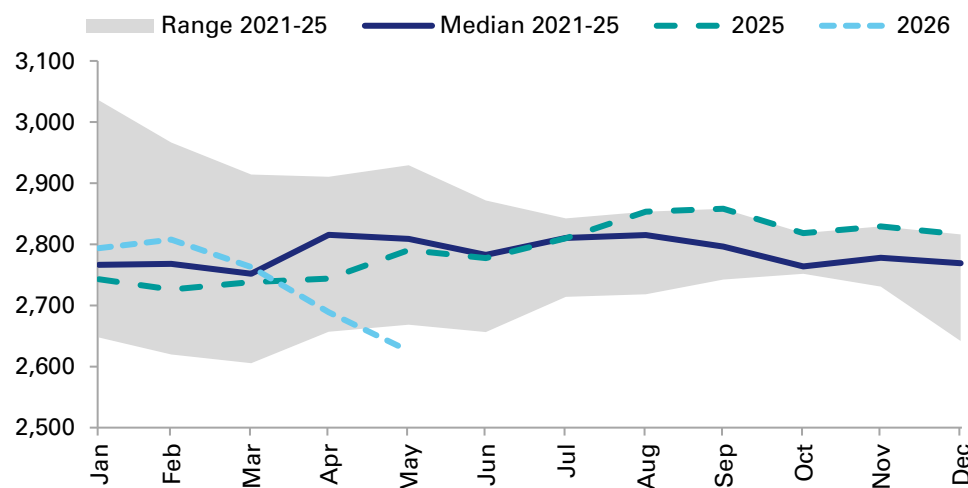
(2021 – 2026 YTD, millions of barrels)



Source: Bloomberg Finance L.P., Deutsche Bank

OECD commercial liquid inventories (5-year range)

(millions of barrels)



Source: Bloomberg Finance LP, Deutsche Bank



Workarounds helped, but only partly...

- Ultimately, the ramp of Saudi Arabia's East-West pipeline to Yanbu and the UAE's Habshan-Fujairah ADCOP pipeline approached 5 mb/d by May.
- These moves materially reduced effective oil export shortfall, especially for those two countries, but did not solve the problem for Iraq, Kuwait, Qatar, Bahrain or most Iranian exports. Thus, bypass routes cushioned the hit; they did not remove it.

Higher prices drove non-Gulf incremental supply...

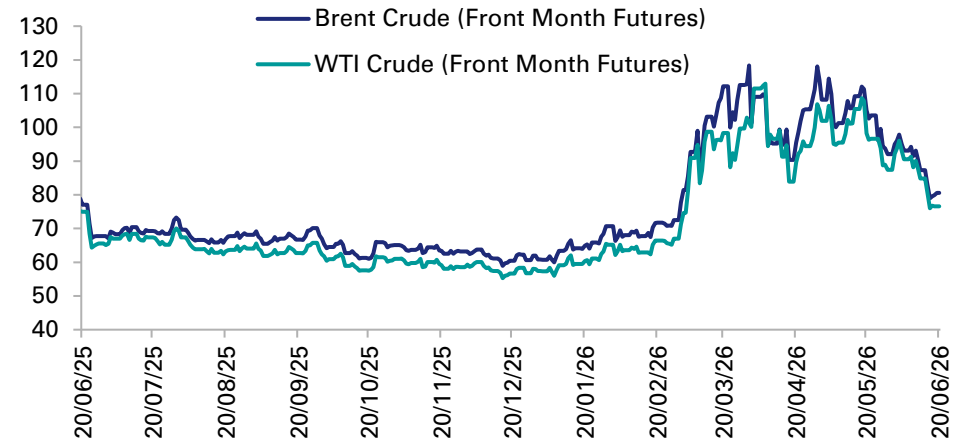
- US crude production and exports appear to have reached record levels during the crisis, and production in Latin America surged, which helped cushion the seaborne shortfall at the margin.
- However, the market's central constraint remained unchanged: spare capacity existed largely inside the Gulf, which meant even nominal OPEC spare barrels were not fully available to the seaborne market while the SoH remained impaired.

Higher prices supported demand destruction...

- The IEA's May assessment projects global oil demand to contract by about 420 kb/d year-on-year in 2026, with the sharpest weakness in 2Q26, when demand is expected to be down roughly 2.45 mb/d y-o-y.
- Petrochemicals and aviation appear to be the sectors most directly affected so far, but the broader macro point is that higher prices, weaker confidence and policy-driven conservation were already suppressing fuel use before full physical normalization had begun.

Brent & WTI crude oil front month futures

(USD / bbl)



Source: Bloomberg Finance LP



Physical recovery is multifaceted...

- Crude normalization depends on three separate clocks: i) repair of damaged upstream/export infrastructure, ii) restoration of loading and shipping through the SoH, and iii) the willingness of producers to unwind emergency shut-ins. Those clocks do not move at the same speed.
- Exports can rebound faster than production because some barrels were already produced or partially staged and simply waiting for a loading window.
- As ports clear and storage constraints ease, producers with usable infrastructure should be able to raise output,
- KSA spare capacity is the key swing factor. In principle it offers upside; in practice the market only benefits fully once both export routes and market belief are restored
- Full crude normalization requires a lower war-risk premia, steady tanker scheduling, repaired facilities where relevant, and confidence that the SoH will remain functionally open. That is why prices may normalize well before volumes and logistics fully do.

Key factors in the “new normal”...

- The need to restock inventory will be the most obvious one, with US refiners who have participated in the SPR exchange having to return 150-160 kb/d.
- There may be an inclination to restore depleted commercial inventories, while industry may aim to boost stockpile levels and establish new stockpile locations.
- The other new normal is that the UAE is no longer a member of OPEC but has pledged to act responsibly.

Price path and normalisation...

- Deutsche Bank’s broad macro framing as presented in the World Outlook (WO) was consistent with a substantial Brent shock versus pre-war levels and a gradual path to normalization.
- In the WO baseline, Brent stayed elevated in 2Q before falling toward the mid-\$80s in 4Q and ~\$80 in 2027 as Hormuz reopens and the market moves back into surplus.
- Following the news last week of the MoU agreement and the partial reopening of the SoH, prices had dropped substantially faster than expected. This development likely reflected the combination of i) unwinding of the war/disruption premium, ii) signs Hormuz shipping and exports exceeded reported numbers recently and now could normalize sooner than assumed previously, and iii) some signs of easing demand pressure in China and elsewhere.
- However, news over the weekend that Iran has once again closed the Strait due to clashes in Lebanon has somewhat disrupted this narrative.
- Should traffic continue, a new sustainable path could see crude end the year in the \$75-80 per barrel range (Brent). This will still be noticeably above pre-war levels as inventories and reserves are rebuilt. We caveat that this estimate comes with considerable uncertainty attached, with these concerns only amplified by the further closing of the SoH.



Input-cost transmission...

- On a broad level, DB's macro view is that the crude shock was large enough to lift headline inflation materially.
- Input cost pressures for exposed sectors should dissipate meaningfully within one to three months of a sustained SoH reopening as crude prices and freight normalize, but full downstream pass-through can take time and will unwind more slowly wherever inventories were replaced at elevated prices.

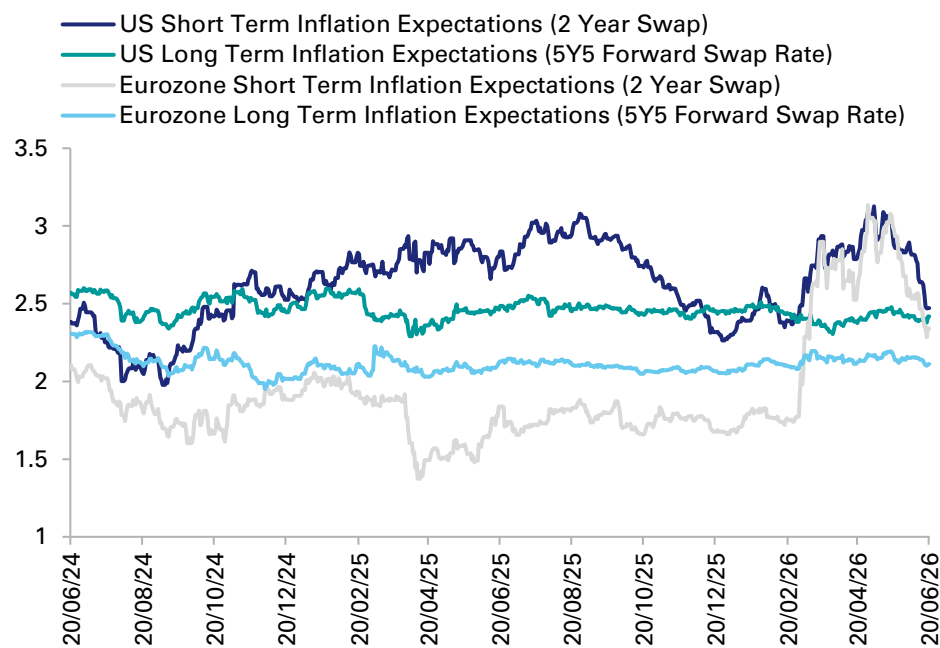
Consumer-price implications...

- In the scenario where oil moves gradually lower during a more sustained reopening of the SoH (with Brent crude ending the year in the \$75-80 per barrel range), we expect some substantial easing in headline inflation.
- However, non-energy inflation will remain more elevated due to lagged pass through from earlier energy increases coupled with cost increases in other affected sectors.
- Consumer price impacts will be more pronounced in exposed oil importers, notably Europe and parts of Asia.
- Pass-through also varies materially across economies depending on fuel taxes, subsidies, regulation and retail fuel structures. As of early June, our view was that roughly half of that crude-driven impulse to consumer prices could unwind within 2-3 quarters after credible reopening if oil prices progressed into the mid-low 80s.
- A more sustained reopening of the SoH would point to a lower path for oil prices and a somewhat quicker unwind.

Bottom Line...

- Crude prices can normalize faster than physical flows, especially if geopolitical risk premia compress before inventories and trade routes fully normalize, but the inflation and earnings effects do not disappear as quickly because inventory replacement, refining margins and consumer fuel prices adjust with lags.
- That is why DB and external estimates both point to a sizable, but partially reversible, headline inflation impulse even under a constructive reopening scenario.

Inflation expectations across the US and Eurozone (%)

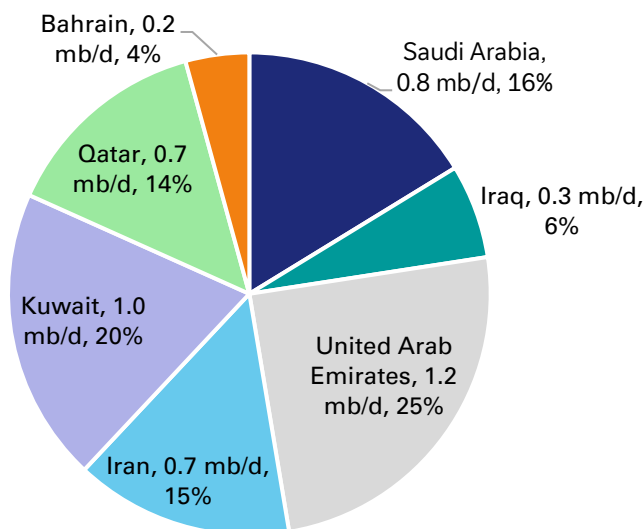


Source: Bloomberg Finance L.P., Deutsche Bank Research

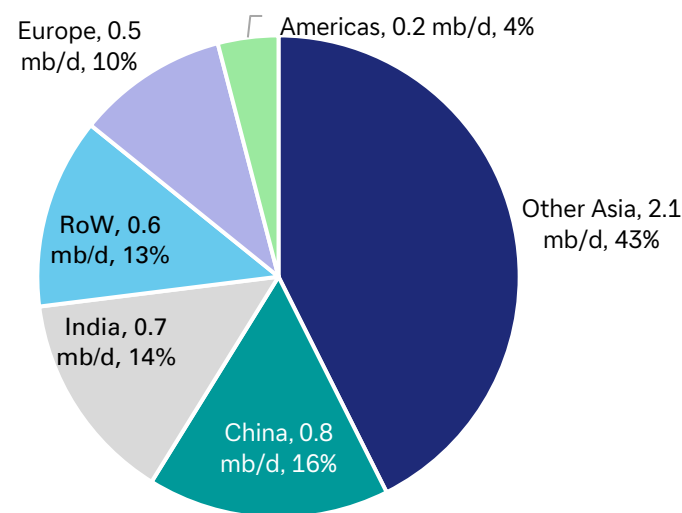


- **Global relevance:** before the war, the Gulf was not just a crude-exporting region; it was also a major supplier of refined products to global markets, especially middle distillates. In 2025, Gulf producers exported roughly 4.9 mb/d of oil products via the SoH, making the region materially important for jet fuel and diesel balances even where direct crude dependence was lower. Oil products include gasoline (petrol), diesel, jet fuel, kerosene, fuel oils, LPG, naphtha and asphalt.
- **Product mix and regional exposure:** the most important transmission channel was middle distillates, not gasoline. Europe had meaningful direct dependence on Gulf jet fuel and diesel, while Asia was exposed both directly through product imports and indirectly through crude feedstock losses to regional refineries. By contrast, gasoline markets were relatively better cushioned because they are broader, more Atlantic Basin-linked and somewhat easier to rebalance.
- **Why products mattered differently:** refined product markets are less fungible than crude because the shortage is product-specific. Refiners cannot easily re-optimize output toward jet fuel or diesel at scale, which is why cracks and regional physical premia moved much more violently than benchmark crude during the disruption.

Oil products exports via the SoH in 2025
(exports - 5 mb/d)



Destination Share of oil products exports via the SoH
(2025)



Source: Bloomberg Finance L.P., Deutsche Bank Research

Source: Bloomberg Finance L.P., Deutsche Bank Research



The refined-product shock came through three channels at once: (i) direct refinery outages in the Gulf, (ii) the loss of export routes for products that were still being made, (iii) the feedstock squeeze imposed on refineries outside the region that relied on Gulf crude. This combination made products tighter than crude in several regional markets.

Market effects from export collapse and physical damage

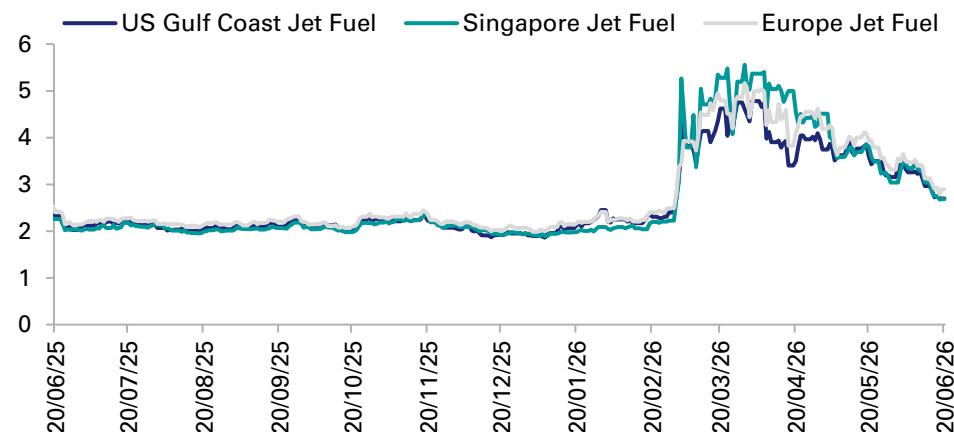
- Pre-war Gulf exports amounted to roughly 3.3 mb/d of refined products, but by March/April much of that flow had collapsed alongside Hormuz shipping.
- The IEA estimates more than 3 mb/d of refining capacity in the region was shut down because of attacks and a lack of viable export outlets, while refinery runs outside the Gulf were also constrained by feedstock shortages.
- Direct physical damage mattered most in Kuwait and Bahrain, where repeated strikes hit refining assets at Mina al-Ahmadi, Mina Abdullah and Sitra/Bapco.
- Saudi Arabia and the UAE saw important but mixed disruption through hits to Ras Tanura, SAMREF and the wider Fujairah/Ruwais logistics-refining chain.

Jet fuel surged on capacity concerns, driving prices higher, though ultimately only Asia struggled to get supply.

- Per a report by Boston Warwick, the closing of the SoH disrupted ~25% of European jet fuel supplies. Unlike crude oil, jet fuel cannot easily be substituted, leading to a sharp decline in jet fuel stocks during March and April.
- While there were clearly scheduling decisions impacted in Europe, issues with fuel availability was more pronounced in Asia leading to flight cancellations.

- By mid-April, there were fears European inventories could fall to critical levels. Airlines responded with measures such as the cutting of marginal capacity and introduction of fuel surcharges, with these policies spurring sufficient demand reduction to prevent widespread shortages.
- By early June, the market had stabilised due to measures including: i) The emergence of US Gulf Coast refiners as a key swing supplier, with exports redirected to Europe, ii) European refiners increased output of jet fuel, iii). Maintained capacity discipline by airlines.
- The current dynamic is stable, but vulnerabilities persist. The present equilibrium is largely due to ongoing intervention rather than a return to pre-crisis conditions. Larger hub airports have proved more resilient; regional and leisure-focused airports remain more exposed.

Jet fuel pricing (USD/Gallon)



Source: Bloomberg Finance L.P., Deutsche Bank Research



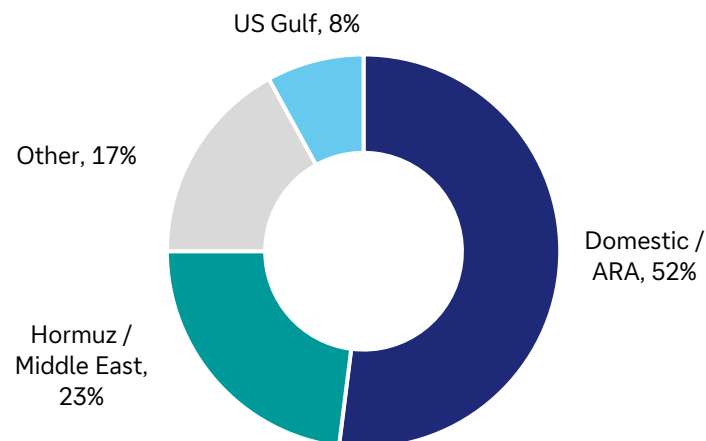
Recovery Timelines

- Product flows can restart faster than refinery output fully normalizes if undamaged barrels are already in storage or partly staged for export.
- In practice, the earliest improvement should come from the resumption of insured product tanker loadings rather than from a full recovery in Gulf refinery runs.
- As crude flows recover through Hormuz and bypass systems, refineries in Asia and elsewhere should be able to raise runs and partially rebuild jet fuel and diesel availability.
- Middle-distillate normalization is likely to lag crude because product balances need both feedstock and refinery operating stability.
- Full normalization in products requires repaired refinery and terminal infrastructure where damaged, lower freight and war-risk costs, and time for regional inventory buffers to rebuild.

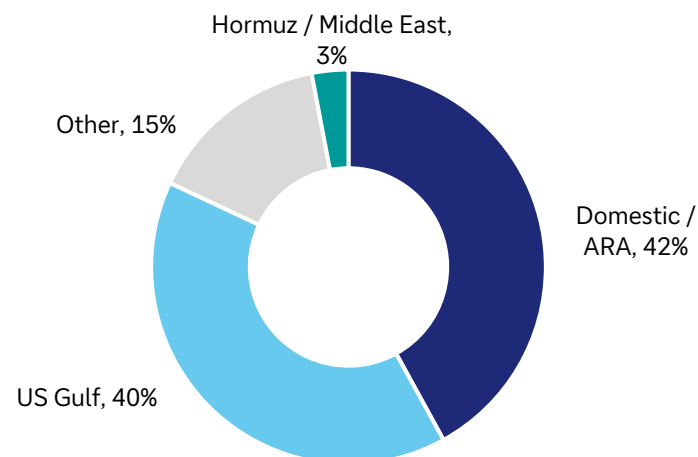
The pre-crisis European jet fuel model is unlikely to return

- While a sustained reopening of the SoH would undoubtedly be positive for European jet fuel pricing, supply recovery from the region will be gradual.
- A report by Boston Warwick in June, opined a (e.g., the US) return to previous supply patterns is unlikely. New supply from other regions, operational changes, and a reassessment of risk have encouraged a more diversified approach to sourcing fuel.

European jet fuel supply shares pre-crisis (early 2026)



Current European jet fuel supply shares (mid-June 2026)



Source: Boston Warwick



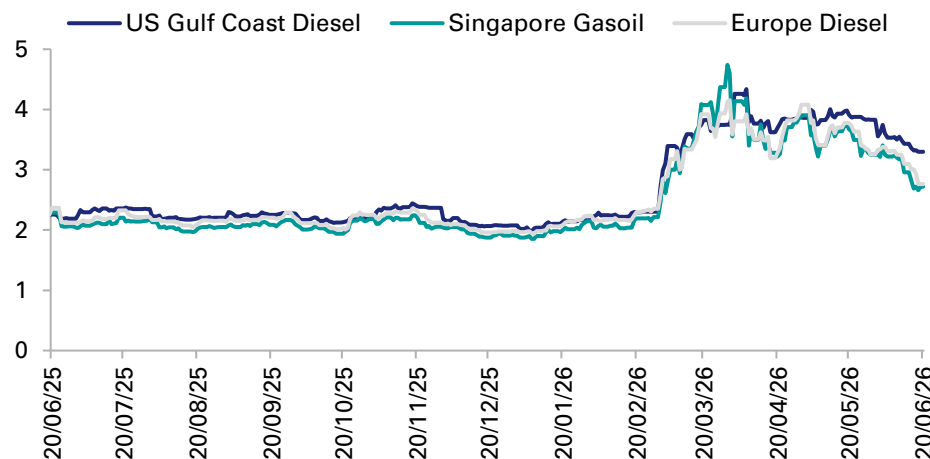
Price path and dissipation

- DB analysis and market reporting suggest the refined-products shock was sharper than the crude shock, especially in jet fuel and diesel. While exposed prices have dropped from peak levels, they likely continue to have a high degree of sensitivity to oil prices/supply.
- Peak pricing distortion could continue to unwind with a credible reopening (which we are already seeing), but middle-distillate tightness may persist into late 2026 if refinery repairs and inventory rebuilding lag.

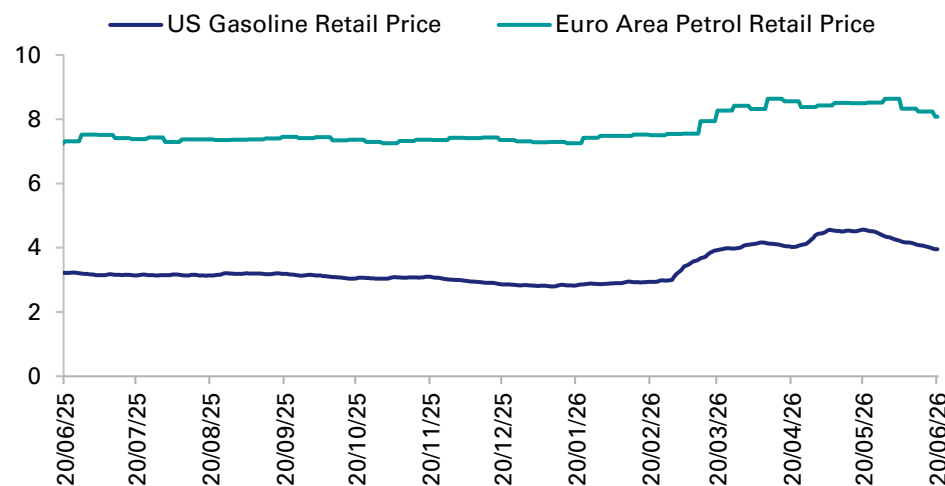
After more than doubling during the crisis, jet fuel prices have receded in recent weeks; post crisis implications point to a new reality for European jet fuel.

- The shift to a system that places greater emphasis on domestic European refining and imports from the US offers greater resilience at the expense of higher structural costs (also noted by Boston Warwick). Relative to Middle-East supplies, US Gulf jet fuel possesses a material freight premium due to the longer voyage needed to import it. Increasing cost curve.
- Boosting domestic European production has necessitated configuration changes and higher crude input costs. Consequently, these alternative sources come at a premium, meaning even after a full SoH reopening, European costs will likely be higher than pre-crisis.

Diesel (USD / Gallon)



Gasoline (USD / Gallon)

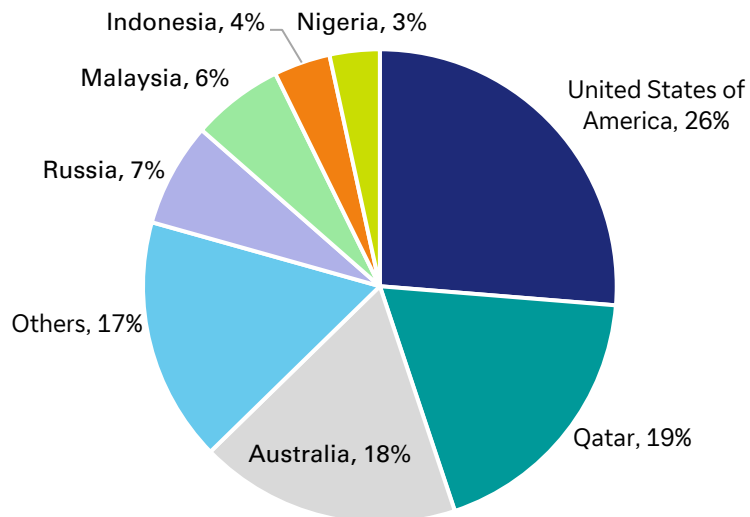


Source: Bloomberg Finance L.P., Deutsche Bank Research

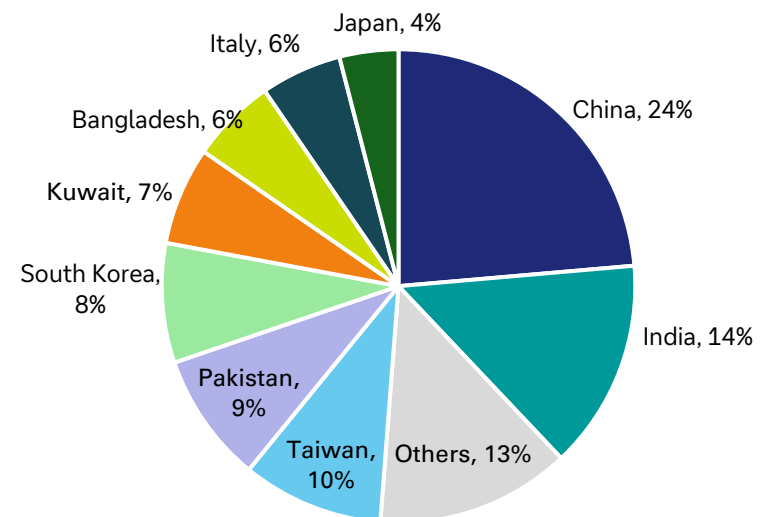


- **Global relevance:** before the war, the LNG market was already tighter than many investors appreciated. Qatar and the UAE together supplied roughly 110–112bcm of LNG through Hormuz in 2025—close to one-fifth of global LNG trade—with Qatar overwhelmingly dominant via Ras Laffan. For transparency, that is broadly equivalent to around 80-plus mtpa from Qatar plus a much smaller UAE contribution when converted into gas-equivalent volumes. The market implication was straightforward: a single regional chokepoint sat in front of one of the world’s largest baseload gas supply systems.
- **Market structure and exposure:** ~90% of Hormuz-linked LNG exports were normally destined for Asia, making Northeast and South Asia the most directly exposed regions, while Europe was more exposed through price competition for Atlantic cargoes than through direct Gulf dependence. LNG dynamics also differ from oil: once liquefaction stops, storage fills quickly, cargoes cannot be rerouted easily, and the chain from upstream gas to regasification becomes much less flexible.
- **Why LNG mattered disproportionately:** LNG supply is concentrated, contract-heavy and physically rigid. That means a disruption in Qatar does not just lift benchmark prices; it reshapes regional netbacks, forces buyers into fuel-switching and demand curtailment, and quickly turns Asia into the market’s balancing point.

Global LNG exports by exporting country (2025)
(Total 442mn metric tonnes)



Qatar LNG exports by importing country (2025 delivered)
(Total 75mn metric tonnes)



Source: Bloomberg Finance L.P., Deutsche Bank Research

Source: Bloomberg Finance L.P., Deutsche Bank Research



The LNG shock came through both shipping and infrastructure at once. The effective closure of Hormuz halted LNG tanker traffic, while attacks on Ras Laffan shut liquefaction trains and resulted in force majeure on long-term contracts. Unlike crude, this was not a market where floating storage and rerouting could absorb the shock for long.

Scale and location of damage

- The key structural hit was at Ras Laffan in Qatar, where reported strikes damaged two of fourteen LNG trains, taking roughly 12.8 mtpa, about 17% of Qatar's LNG export capacity, offline for what QatarEnergy and market analysts describe as a multi-year repair cycle.
- UAE LNG exports from Das Island were also constrained by shipping and storage limits, but the market's central physical loss was Qatari. Force majeure and cargo disruption were especially relevant for buyers in China, South Korea, Italy and Belgium, highlighting how concentrated the downstream exposure was among large contract importers.

Outside-region response

- The US, Australia and other exporters could tighten utilization and redirect cargoes, but they could not replace the lost Gulf volumes quickly at scale. In practice, the adjustment came more through demand destruction and fuel-switching than through a clean supply substitution. This was especially in South and Southeast Asia.

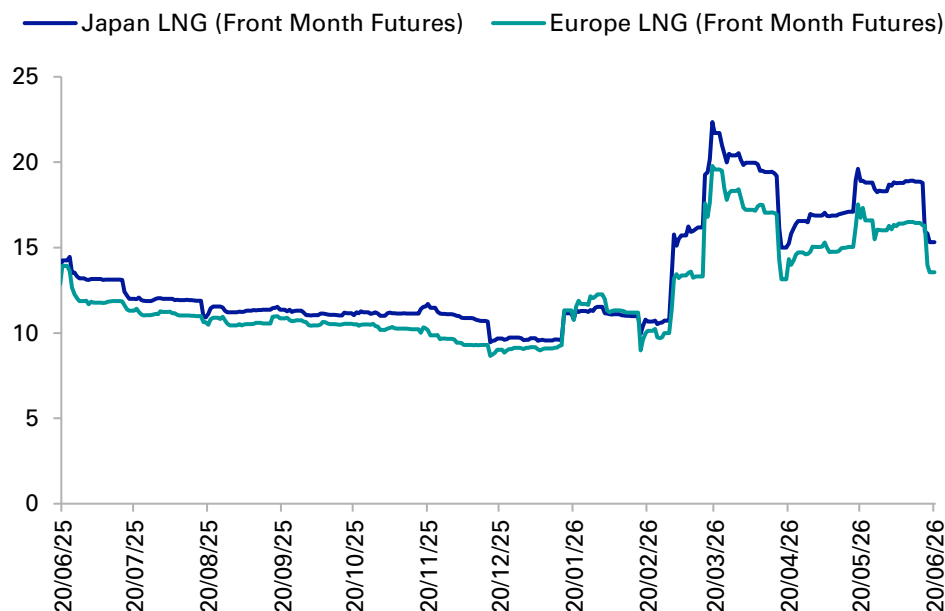
Production and exports drop

- The IEA estimates the disruption removed close to 20% of global LNG tradeable supply from the market at peak and also drove observed global LNG production down about 8% year on year in March.

Regional adjustment

- Asia bore the sharpest physical stress, Europe retained more optionality through Atlantic sourcing, and both regions responded with price-led demand adjustment.

LNG pricing (USD / MMBtu)



Source: Bloomberg Finance L.P., Deutsche Bank Research

Liquefied Natural Gas (LNG)

Recovery Considerations and Implications



Restart is slower than oil

- LNG recovery depends on more synchronized systems than crude, including feed gas, liquefaction trains, refrigeration equipment, storage tanks, loading arms, specialized carriers and downstream regasification schedules.
- Consequently, reopening Hormuz is necessary but not sufficient; LNG can resume only as shipping and plant reliability recover together.

Phased recovery path

- Unaffected Ras Laffan trains could restart in phases once secure tanker transit resumes, but full system normalization is likely to lag into late summer even in a constructive scenario.
- More importantly, the damaged trains represent a structural loss: market reporting indicates roughly 12.8mtpa may remain offline for three to five years
- The damage to these trains implies that post-reopening flow normalization and medium-term supply normalization are not the same thing.

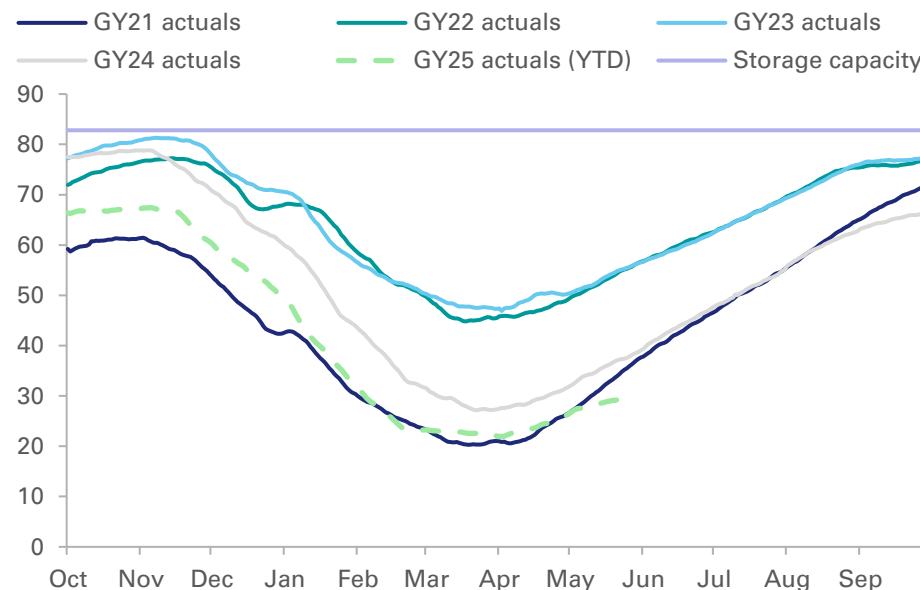
Bottom line

- LNG shipping can restart faster than the market fully normalizes, but the combination of physical damage at Ras Laffan and LNG's inherently rigid logistics means gas balances are likely to stay tighter for longer than the crude market.

Price path and persistence

- LNG likely delivered the most persistent energy-price shock after crude and products.
- With roughly 19–20% of global LNG trade disrupted at peak and some Qatari capacity structurally impaired, spot LNG prices likely overshoot well beyond the immediate physical loss.
- Even after reopening, prices should normalize only gradually because LNG shipping can resume faster than full liquefaction and contract performance normalizes.

European underground gas storage inventories (billion cubic meters)



Source: Bloomberg Finance L.P., Deutsche Bank Research

Note: GY represents gas years. Europe definition as per BNEF Europe Perimeter.

GY25 actuals through May 24th.



The importance of the Middle-East to the global fertiliser market

- The Gulf is a major production and export hub for fertilizer markets, making up ~1/4 to 1/3 of globally traded volumes across the main nutrient and feedstock chains.
- The Strait of Hormuz matters not only for fertilizer shipments themselves, but also for globally relevant inputs that sit upstream of fertilizer production including for farm/food costs.

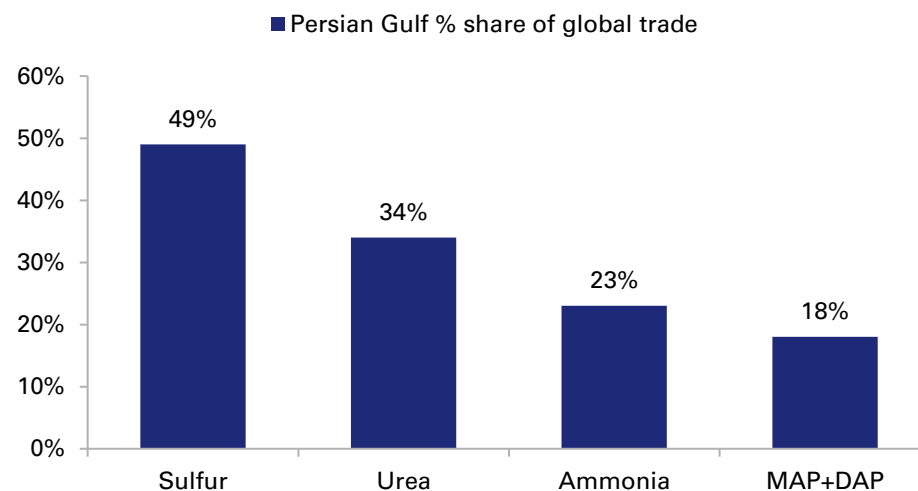
Product-specific exposure

- **Sulfur:** nearly half of global sulfur trade is Hormuz-linked, making it an important component because it is a critical feedstock for phosphate production globally (phosphate is one of the three key fertiliser nutrients).
- **Urea:** roughly 34% of global urea trade is linked to the Gulf (it is made from natural gas which is cheap in the Gulf). Urea is the most important nitrogen fertiliser.
- **Ammonia:** around 23% of global ammonia trade is Hormuz-linked. Ammonia is important as a fertilizer product and as an intermediate for downstream nitrogen markets.
- **Phosphates (MAP/DAP):** around 18% of global phosphate trade is linked to the Gulf. This is smaller than nitrogen and sulfur in trade-share terms but still meaningful.

Geographic exposure

- Saudi Arabia, Qatar, and Iran are the three most important suppliers, though other Gulf countries also feature.
- By destination, South Asia, Brazil, parts of Africa and segments of Latin America are the most directly exposed import regions as they rely heavily on seaborne fertilizer and feedstock flows linked to the Gulf.
- The US is more exposed through fertilizer pricing than through direct ammonia dependence.
- Europe is more exposed through second-round input-cost and food-price effects rather than through direct fertilizer dependence.

Persian Gulf region share of global fertilizer trade (2024)



Source: International Fertilizer Association



Supply shock mechanics

- The fertilizer shock came through shipping, feedstocks (gas) and production simultaneously.
- Commercial paralysis in Hormuz trapped exportable urea, ammonia, sulfur and phosphates behind the strait, while higher gas prices and some plant outages raised production costs across nitrogen markets.

Scale and location of disruption

- The biggest immediate hit was to tradability rather than outright destruction of fertilizer production facilities.
- Finished fertilizer exports from all Gulf suppliers were severely disrupted, while there were supply losses in Qatar, Iran, and Bahrain.
- Blocked Gulf shipments of sulfur reduced feedstock availability for fertilizer producers in places like Morocco, China and elsewhere.
- Reported missile and drone strikes around Ras Laffan and broader Gulf industrial sites mattered, but shipping logistics were still the dominant constraint.

Inventories and buffers

- Given that there is no true fertiliser equivalent of a strategic petroleum reserve (long term storage can be problematic), inventory matters more and policy backstops matter less.

- Timing can be a key macro amplifier in the sector (crop-calendar constraint). The market reaction has so far been less extreme than in 2021–22, in part because the Northern Hemisphere spring planting had already passed its most acute procurement phase before the disruption peaked, moderating the immediate hit,
- However, inventories are uneven, sulfur stocks are less forgiving, and the cushion will thin quickly if the conflict persists into future application windows.

Likely agronomic effect

- The main risk is not that crops fail immediately, but that farmers economize on application rates, switch to less input-intensive crops, or accept lower yield potential.
- The most severe effects may have been avoided so far, but this is a particularly relevant consideration for corn, wheat, and rice where nitrogen and phosphate intensity is high and substitution is limited.

Regional next watchpoints

- The next deadlines that matter are southern hemisphere pre-plant purchasing, African import tenders and India's fertilizer procurement for the monsoon cycle.
- If Hormuz-related friction persists into 2026Q3, the shock becomes less about spot fertilizer prices and more about 2026/27 crop supply and food inflation.



Production recovery is uneven

- Where fertilizer plants are physically intact, production can recover relatively quickly once gas, sulfur and export logistics normalize.
- The larger issue is not plant rebuild time but restoring economically viable trade flows. Nitrogen output can in principle rebound faster than phosphate balances normalize, because sulfur bottlenecks can continue to constrain downstream phosphate production even after shipping improves (there is a longer chain that needs to restart).

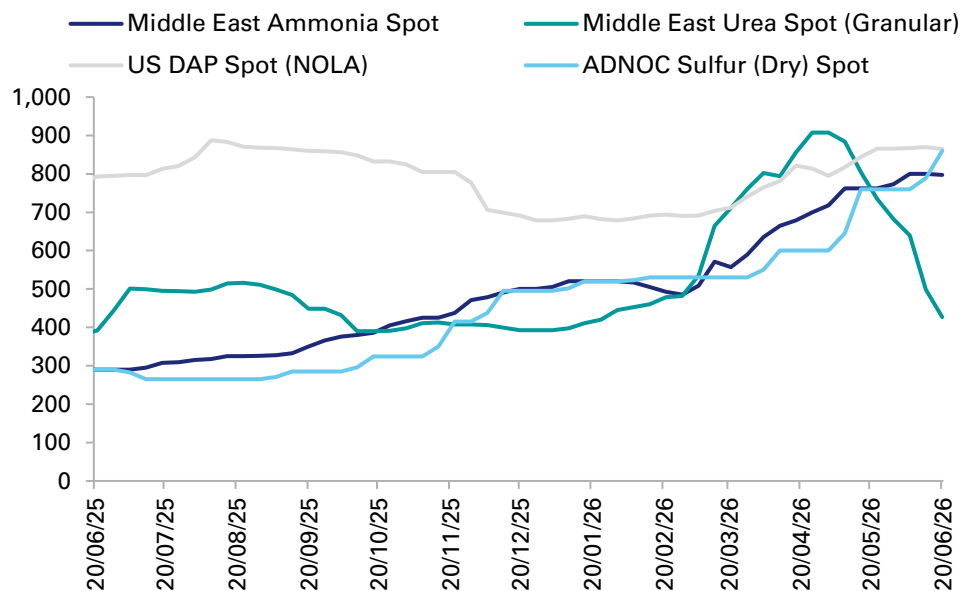
Recovery timeline

- Fertilizer shipping can restart faster than agricultural impact would normalize.
- Initial vessel movement could resume within days of a credible reopening, but price normalization is likely to lag (e.g. in DAP) while insurers, charterers and buyers rebuild confidence.
- More importantly, agronomic normalization lags physical normalization: theoretically missed applications or altered crop choices in one season cannot be fully reversed just because product flows recover later.
- All of that said, it is worth noting that the timing of the season and reasonable nitrogen availability has kept urea prices at a lower level, meaning as it stands urea "normalisation" upon an end to the conflict would be fairly limited.

Why fertilizers transmit differently

- Unlike oil, fertilizer demand is constrained by crop calendars rather than there being continuous industrial consumption.
- Farmers can defer or reduce application, but this comes at the cost of lower yields, weaker crop quality or shifts in crop mix.
- Timing is key, as even if physical fertilizer supply later normalizes, a missed planting or top-dressing window cannot always be recovered within the same season.

Fertilizer spot prices (USD / MT)



Source: Bloomberg Finance L.P., Deutsche Bank Research



Price path and agricultural timing...

- So far the fertilizer shock has been less explosive than 2021–22 in headline price terms, while timing and availability has also been supportive.
- A reasonable peak range is +20–90% for urea/ammonia and +15–40% for phosphates and sulfur-linked chains versus pre-war norms, with the largest risks shifting into the next planting and top-dressing cycles rather than immediate crop failure.
- The key macro point for the sector is crop-calendar timing matters more than spot prices alone: even if trade flows normalize within weeks of reopening, missed application windows and altered crop choices could still feed through into yields, farm profitability and food inflation with a lag.

Earnings and sector effects...

- Fertilizer producers with non-Gulf production and sulfur access have been relative winners, while farmers, import-dependent distributors, and some food processors have faced margin pressure.
- The main macro loser is downstream agriculture, where the earnings hit arrives through lower farm profitability, lower acreage, or lower yields.

Combined fertilizer and diesel effect...

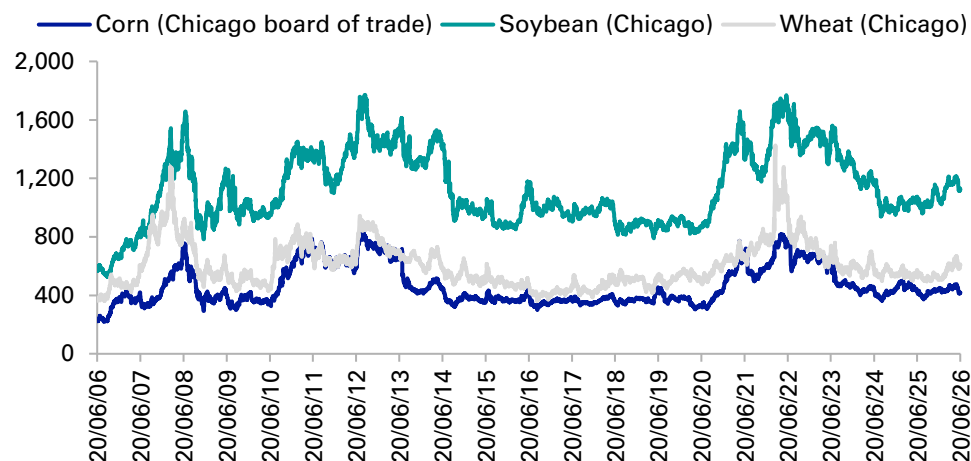
- The consumer impact is broader than fertilizer alone, because higher diesel prices also raise the cost of running farm machinery, irrigation and harvesting equipment, and of transporting grain, produce and food products through storage, distribution and retail chains.

- Physical fertilizer trade can normalize within weeks of reopening, but food-price dissipation usually takes one to three crop cycles because farm-input, distribution and retail-price adjustments all occur with lags.

The key question is the durability of a peace deal...

- The longer supply is restricted the more there is a risk that fertiliser prices increase more significantly than they already have. In particular, there is upside risk to nitrogen prices since price spikes have really been reduced so far due to fortunate timing. Of course, if fertilisers spike even more from here there is additional risk to crop output and hence crop prices and food inflation.

Key crop prices (USD/bu)

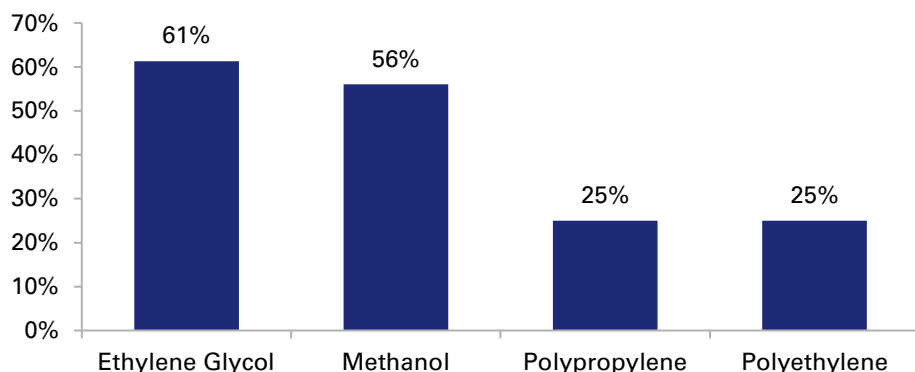


Source: Bloomberg Finance L.P., Deutsche Bank Research



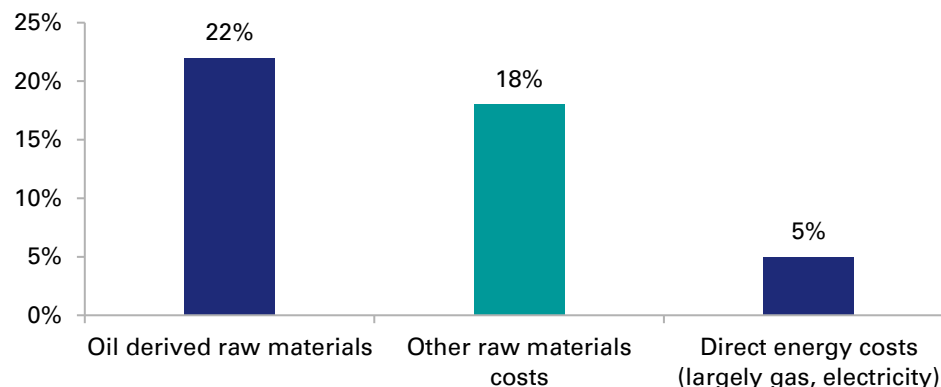
- **Global relevance:** The Gulf is one of the world's most important export hubs for petrochemicals and polymers. Its access to low-cost hydrocarbons (oil and gas) underpins its position as a globally competitive producer of upstream chemicals. These upstream chemicals are used as feedstocks for downstream production worldwide, with Asia in particular acting as a major import market. The most important products include methanol, polyethylene, ethylene glycol and polypropylene, while the region is also central to the supply of naphtha, LPG and other feedstocks used by chemical crackers and other derivative plants across Asia and Europe.
- **Middle East supply:** Importantly, 24% of global naphtha supply and 29% of global seaborne trade in LPG transits via the SoH, respectively. Saudi Arabia is the dominant regional chemicals player, led by Jubail-based production, with meaningful additional exposure in Qatar, the UAE, Kuwait and Iran. By destination, China and the rest of Asia are the most directly exposed to the conflict in the Middle East because they depend on Gulf feedstocks and polymers both for domestic manufacturing and for export-oriented conversion industries, while Europe is more exposed through feedstock cost (higher gas and oil prices) and margin pressure.
- **Why petrochemicals matter macroeconomically:** petrochemicals are used in a wide range of downstream manufactured goods and can cause disruption to several markets include packaging, consumer electronics, auto parts, appliances, textiles, construction materials, industrial intermediates and other parts of the economy. For investors, the key point is that this is not just a chemicals-sector shock; it is a broad manufactured-input shock with downstream margin implications.

Persian Gulf share of global petrochemical trade
(% share of global trade)



Source: S&P International Trade Publications

Chemical company exposure to key inputs
(% of sales)



Source: Deutsche Bank research



The petrochemical shock came through both exports and feedstocks. Hormuz restrictions cut off shipments of methanol, polyethylene, ethylene glycol and polypropylene, while the same conflict also tightened naphtha and LPG availability for crackers in Asia. The combination of these factors matters because it hits both the product itself and the feedstock base needed to replace it elsewhere.

Scale and location of disruption...

- The biggest initial impact was a tradability shock, but there has also been some physical disruption through strikes (e.g. Iran, Asaluyeh).

Inventories and substitutability...

- There is no strategic reserve system for petrochemicals (there are too many of them), with inventories varying sharply by chemical chain.
- Most chemical markets entered 2026 in cyclical oversupply, which may have reduced the shock, but that cushion has been thin in certain areas; for example in feedstocks such as naphtha and in products such as methanol where seaborne trade is concentrated in the Middle East. The result is a classic sequence: spot disruption first, then contract repricing. In theory this is likely to be followed by downstream margin pressure.

Geographic exposure...

- Asia is the most directly exposed region with Korea, Japan and India relying heavily on Gulf-linked feedstocks and polymers for manufacturing chains.
- China has been a large importer of chemical feedstocks from the Middle East, but it has more flexibility in sourcing (e.g. it can switch to coal-based chemicals in areas, and it can use its strategic reserves as support for some time).
- European chemicals is not that reliant on the Middle East in terms of direct imports but overall, higher gas and oil prices mean more expensive feedstocks, which companies try to pass into pricing.
- The US can offset some of the shortages, for example, in polyethylene and ethylene glycol, but it does not have sufficient production to restore global balance quickly.



Recovery timeline...

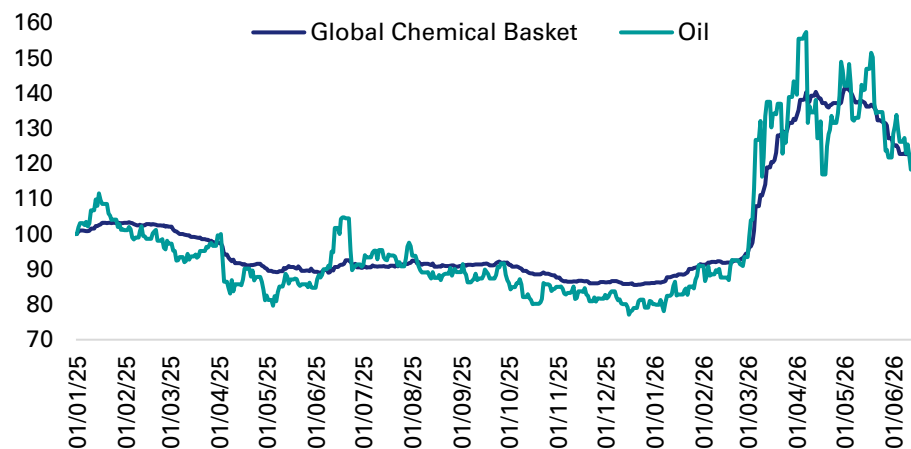
- Facility recovery is uneven. Where outages reflected shipping paralysis or precautionary shutdowns, restart can be relatively fast once feedstocks, labor and export routes normalize.
- Recovery will be slower for integrated hubs that suffered direct damage with crackers, derivative units and utilities often needing to restart in sequence.
- Chemical companies tend to estimate a 6-9 month time-frame for supply chains to normalize upon the end of the conflict (consultants lower at 4-5 months).

Shipping and market normalization...

- Chemical and polymer cargoes can begin moving again relatively quickly after a credible reopening, but market normalization is likely to lag because feedstock costs, insurance premia and contract renegotiation all adjust more slowly than vessel traffic.
- In practical terms, methanol and some polymers may see trade flows recover before margins normalize, while integrated downstream chains could remain impacted into late 2026 even in a constructive reopening scenario.

Chemical pricing

(1st January 2025 = 100)



Source: Bloomberg Finance L.P., Deutsche Bank Research



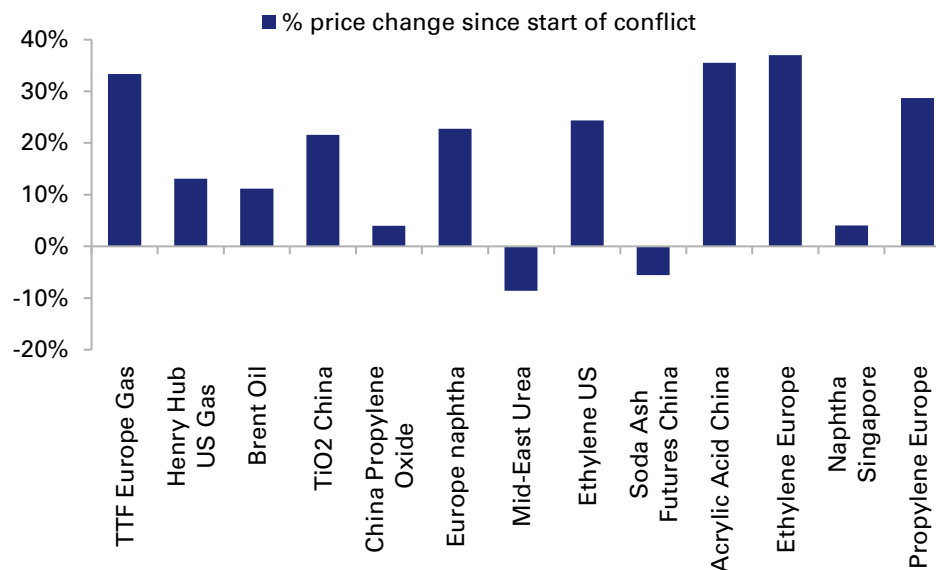
Price path and manufacturing sensitivity

- Petrochemical price reactions to the conflict were mixed with more pronounced reactions in areas like methanol, ethylene glycol and select polymers, while price reactions were less dramatic in oversupplied chains. That said, overall prices broadly tracked oil...

Winners and losers...

- The winners are US-based chemical players who could take advantage of higher chemical prices while feedstock prices in the US remained low compared to other regions. This has particularly been the case for commodity focused chemical producers.
- For European players, some chains have been pressured by higher costs, but at the same time demand has remained at a stable level, perhaps supported by market share gains at the expense of those unable to provide supply.
- In Asia, this is where some companies are feeling the effects of feedstock shortages and market share losses, although if companies can find feedstocks (e.g. by switching to coal or importing from the US) profitability can also be strong.
- While downstream packagers ultimately pass through price increases to customers, many will choose to hold bigger inventories on supply concerns resulting in short term cashflow impacts.
- The main investment implication is that for companies who have seen exceptional profits linked to the conflict there is likely to be normalization when the conflict ends.

Key chemicals-related price changes since start of conflict

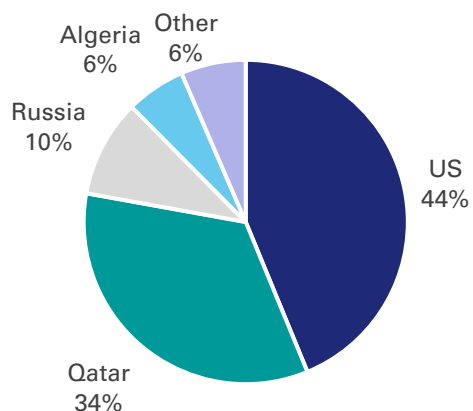


Source: Bloomberg Finance L.P., Deutsche Bank Research



- **Global relevance:** Helium is a small market in value (~\$4.5B pre-conflict) but strategically important due to some unique properties (low density, low boiling point, small molecule size, excellent heat-conducting capabilities) which make it irreplaceable in certain high-tech and medical applications including semiconductors, magnetic resonance imaging (MRI), scientific equipment, aerospace systems, welding and fiber-optic processes.
- **Difficult and expensive:** The extreme requirements needed to refine helium mean only a handful of countries have significant reserves and production capabilities. Thus, global supply is primarily traded.
- **The natural gas connection:** Helium is intrinsically linked to LNG as natural gas contains a small percentage of helium. After extraction, the two gases are separated via various processes including cryogenic liquefaction.

2025 Helium production by country
(Total 185mn cubic metres)



Source: Reuters

- **Disrupted supply from Qatar:** Pre-conflict, Qatar was the world's second largest helium producer (behind the US) accounting for more than 30% of global supply. This came from QatarEnergy's Ras Laffan industrial complex which houses three helium plants. These plants extract helium from LNG production processing trains operating in Qatar.

According to QatarEnergy, 2 of 14 LNG trains at Ras Laffan have been damaged representing 17% of Qatar's LNG capacity. This reduction in LNG capacity is expected to reduce QatarEnergy's helium output by 14%.

Estimates are that it will take 3-5 years to repair QatarEnergy's damaged LNG trains and restore Qatar helium production to pre-conflict levels.

- **Exposure to Qatari disruption:** The majority of Qatar's helium production is exported to Asia, primarily Taiwan, South Korea and China, for use in semiconductor fabrication. A portion of Qatar's helium production is exported to Europe for use in medical imaging, research and industrial-gas markets.
- **Russian restrictions:** Russia, the world's third largest helium producer (10% of global supply), has introduced export controls on helium until the end of 2027. Russia's largest helium production site is at Gazprom's Amur Gas Processing Plant, located near the border of China, which is the largest buyer of Russian helium.



Global inventories:

- Helium users generally operate with much thinner inventories than do those in oil or gas markets. This is because the high cost of liquefaction (helium liquefies at -269°C) combined with the small size of helium molecules means helium has a high boil-off (or leakage rate). This makes storing large volumes of helium in liquid form uneconomic.
- **A just-in-time product:** There is no strategic reserve system for helium that is comparable to that for key energy markets.
- **A market disrupted:** With Qatari production halted, the helium market that was long pre-conflict has become extremely tight-to-short post conflict.
- **Supplier storage:** Large underground helium storage fields exist in the US, Germany and Russia. Amongst the leading industrial gas companies, Air Liquide, Air Products and Linde act as distributors for a large portion of the market. Their underground storage caverns contained, on average, 6-12 months of helium supply based on their annual demand heading into the conflict.

The supply shortfall from Qatar is being made up in the near-term by the following four factors:

- **i) Excess supply:** Heading into the conflict, the helium market was long (~6.5 bcf of supply vs ~6.0 bcf of demand). This oversupply was due to new Russian capacity which came on-stream in '24 – with more Russian capacity scheduled to start-up in mid-'26 and '27-'28;
- **ii) Some mobile inventory:** Most of the helium industry's inventory is contained in ISO containers shipped around the world. However, the leakage rate from standard helium transport containers is 0.2-0.3% per day. So, in a 30-day voyage at a 0.3% daily boil-off, 9% of the helium is lost before delivery.
- **iii) Existing short-term inventories:** Key industrial suppliers can cover immediate demand
- **iv) Potential to limit non-industrial applications:** It is estimated that lifting applications consume 5-10% of global helium demand. This includes balloons for weather forecasting, atmospheric testing (essential), blimps, toys and party and gift balloons (non-essential).



Pricing and availability...

- Helium is the clearest example in this report where availability matters more than price. That said, spot helium prices have more than doubled since the start of the Middle East conflict

- **Impact on semiconductors:** Industry reports suggest some users entered the conflict with several months of inventory. Coupled with improved recycling, they have been able to maintain production up to now.

Major Asian producers, especially in South Korea where exposure to Qatari helium is highest, are reported to have held reserves sufficient to last at least through mid-year. The risk is therefore less an immediate pricing shock than a later-year production bottleneck if damaged Qatari LNG and helium-linked facilities remain impaired even after the Strait of Hormuz reopens.

- **Secondary shock to AI semis supply:** Semiconductor prices have risen significantly in recent months, but the available evidence suggests this has been driven primarily by strong demand linked to the rapid expansion of AI-related activity rather than by helium constraints.

Of note, our dbDataInsights webscraping effort to track the semi-conductor product category shows price growth in AI exposed products to be materially higher than non exposed products. This could escalate, should SoH supply be restricted and further supply shocks ensue.

- **Other industries:** Many scientific, medical and industrial users have all faced tighter allocations, sharply higher prices (2x), surcharges and force majeure within weeks of the conflict starting.

- Aside from semis, the most exposed chains to helium are MRI/medical imaging and scientific instrumentation. The issue here is production continuity rather than headline cost share. Thus, the helium shock is best understood as a bottleneck risk to selected semiconductor and high-performance computing supply chains, not a large macro inflation shock in its own right.

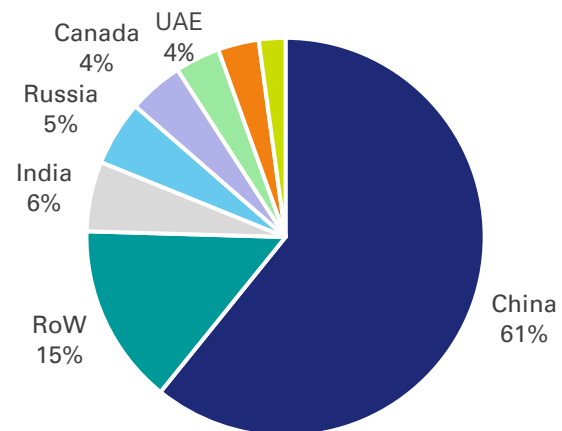
Recovery is constrained by both plant repair and export logistics:

- Helium shipments can only normalize once LNG processing at Ras Laffan is restored, liquid-helium production lines are functioning, and specialized export (ISO) containers can move again through a secure SoH corridor.
- Yet, even after reopening, damaged helium capacity and container logistics could take quarters rather than weeks to normalize.
- Even in a constructive reopening scenario, some trapped inventories could move relatively quickly, but a full return to pre-war supply appears much slower because of damage to Qatar's LNG capacity as a result of Iranian missile and drone strikes.



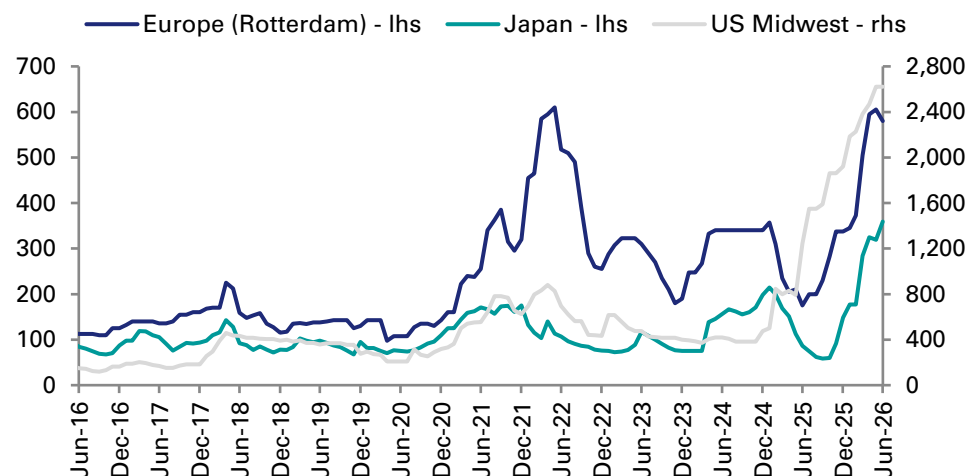
- **Global relevance:** The Gulf region is a globally significant hub for primary aluminium, producing c.8% of worldwide output. However, its importance is amplified by its outsized role in the export market, accounting for a much larger share of traded supply into key importing regions, notably c.23% of ex-China output, thus SoH exposure is far more significant than production share alone suggests.
- **Producer concentration and exposure:** the key producers are Emirates Global Aluminium in the UAE, Aluminium Bahrain (Alba) and Qatalum in Qatar, alongside capacity in Saudi Arabia and Iran. Europe, Japan, South Korea and the US are all meaningfully exposed through metal imports, while downstream users span autos, aerospace, construction, packaging and electrical infrastructure.
- **Why aluminium matters differently:** Aluminium differs from many other metals due to its energy-intensive production process, which demands a continuous power supply and uninterrupted smelter operation. This makes disruptions particularly difficult to absorb. Furthermore, the region's heavy reliance on alumina imports via the SoH creates significant vulnerability to logistical issues. Consequently, even initially moderate production losses can lead to extended recovery timelines.
- **Exposure:** The most exposed importing regions are Europe, Japan and the US as Gulf metal represents a much larger share of their import mix. Impacted industries include autos construction, metal packaging, electronics, and aerospace. Many of these end markets have contractual price pass throughs.

2025 Aluminum production by country
(Total 74MT)



Source: USGS, International Aluminium Institute

Aluminum: Regional physical premiums (month-end/latest)
(USD/t)



Source: Bloomberg Finance, LP



Supply shock mechanics

The aluminium shock began as a logistics and raw-material problem but increasingly became a production problem. The SoH closure stranded finished metal and, more importantly, constrained inbound shipments of alumina and other inputs. This forced producers to manage inventories, reduce operating rates and seek costly rerouting options.

Scale and location of disruption

- April production in the region fell c.35% year on year as smelters in Bahrain, the UAE and Qatar cut output or suffered direct disruption.
- Alba is believed to be operating at c.30% of capacity due to alumina shortages and direct attacks from Iran and is seen as the most vulnerable to alumina shortages. Qatalum is reportedly operating at c.60% of capacity due to falling alumina stockpiles. EGA has been the most severely impacted, with the major Al Taweelah smelter expected to be offline for at least 12 months due to a missile attack on the power plant, while its other smelter, Jebel Ali, is believed to have pre-emptively reduced production due to alumina shortages.

Workarounds and market status

- Producers are re-routing metal exports and raw material imports through Oman and, in some cases, across Saudi land routes, but those channels are slower and costlier.
- Aluminium prices likely rose materially less than oil or LNG in percentage terms, but with more persistent industrial consequences.

Recovery timeline is mixed, but pointing to 2027

- Smelters that have pro-actively managed down production (Qatalum, Jebel Ali, Alba), should be able to return to normal production levels within 6-9 months once the flow of raw materials normalises.
- The repair work to the Al Taweelah smelter is expected to take at least 12 months, meaning production from the region is unlikely to return to pre-war levels until H2 2027.

Price path and downstream sensitivity

- The key point is that the market impact is larger than the Gulf's production share alone would imply because the region accounts for a much bigger share of traded supply into exposed importing markets.

Earnings and sector effects

- Non-Gulf aluminium producers and scrap/recycling-linked suppliers were relative winners, while autos, packaging, construction products and import-dependent fabricators faced margin pressure. The key investment distinction is that aluminium users with pricing power can pass through the shock, but lower-margin fabricators and transport-equipment suppliers are more exposed.

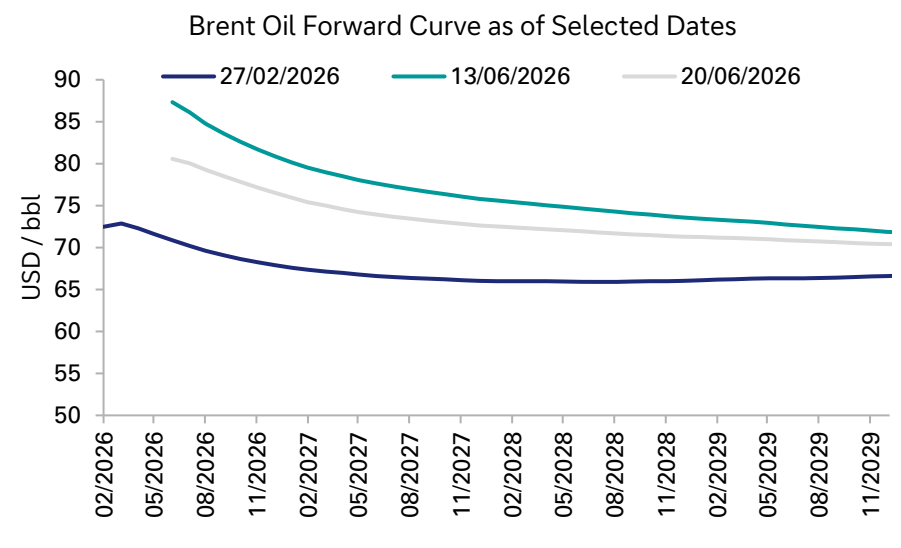
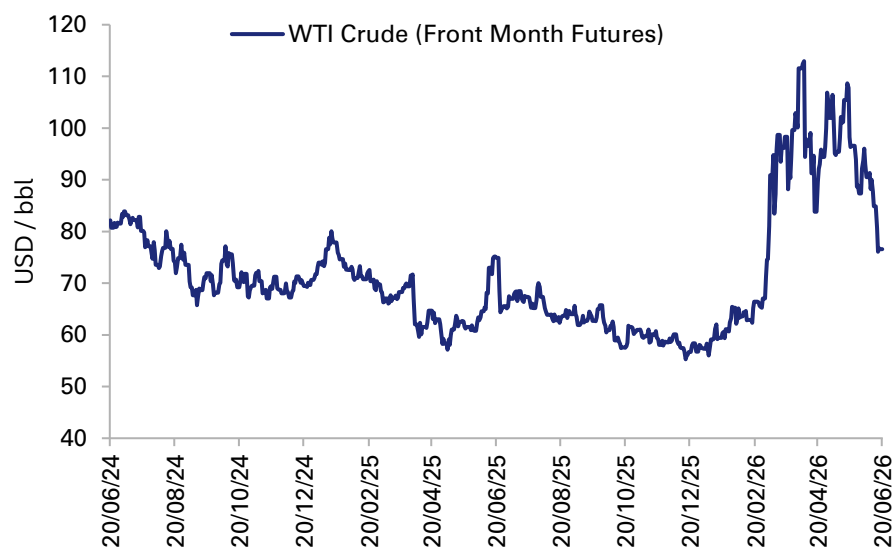
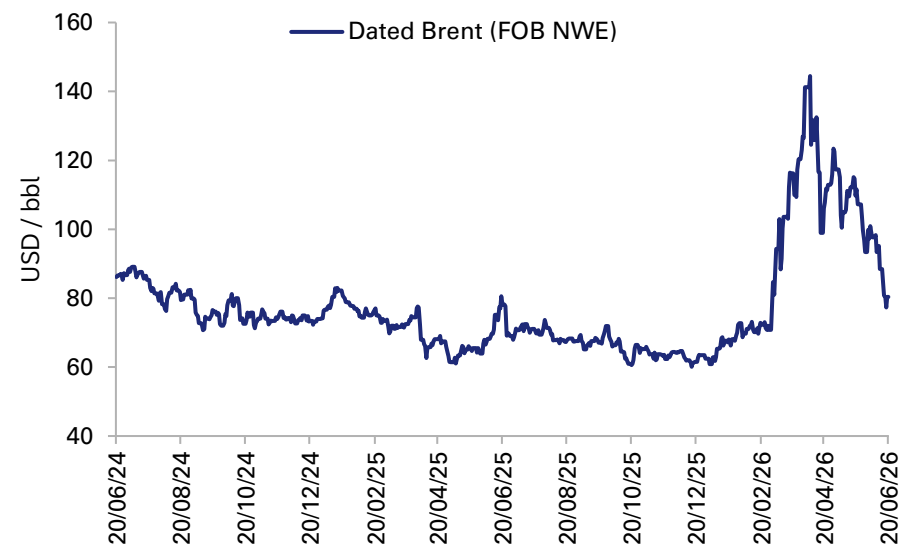
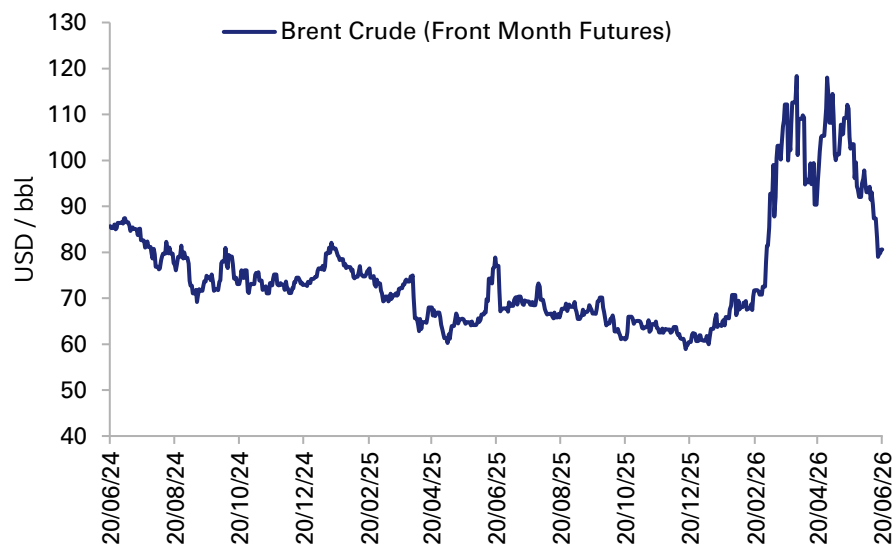


Appendices

Key insights and considerations across exposed sectors

Appendix A – Key Exposures and Economic Indicators

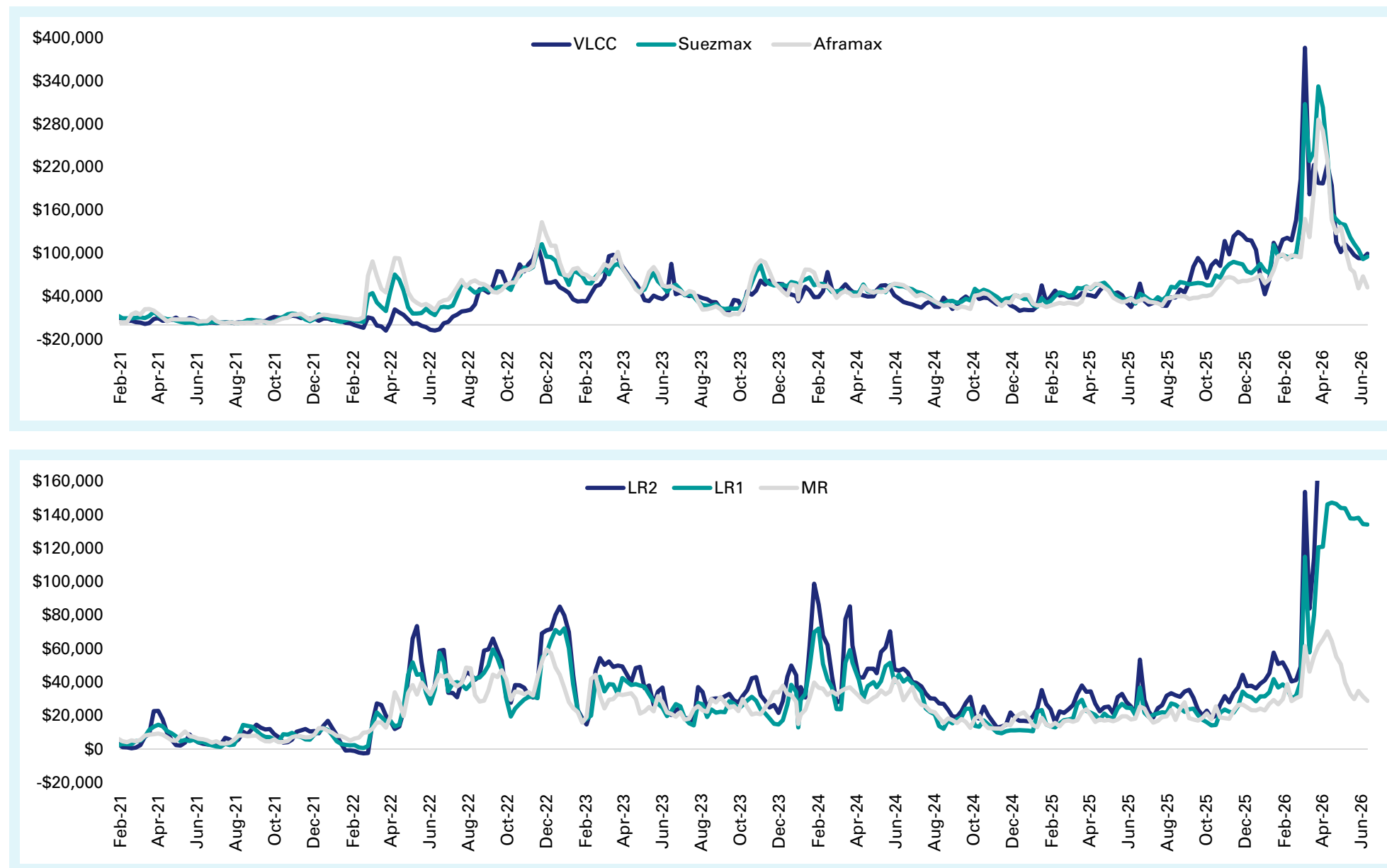
Oil



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

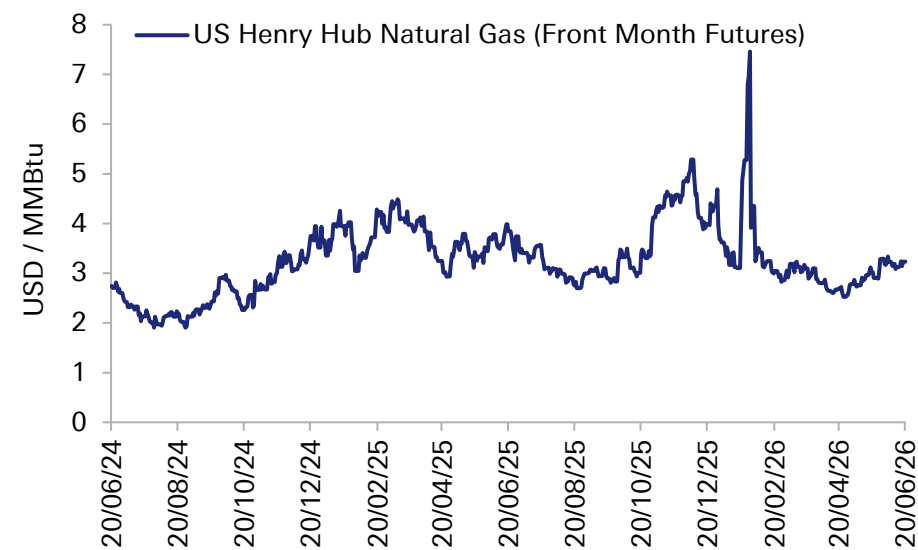
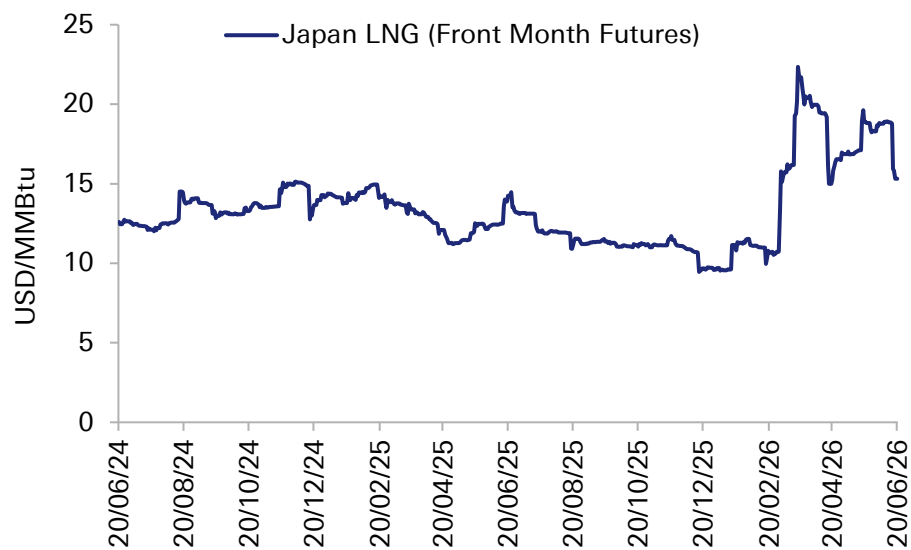
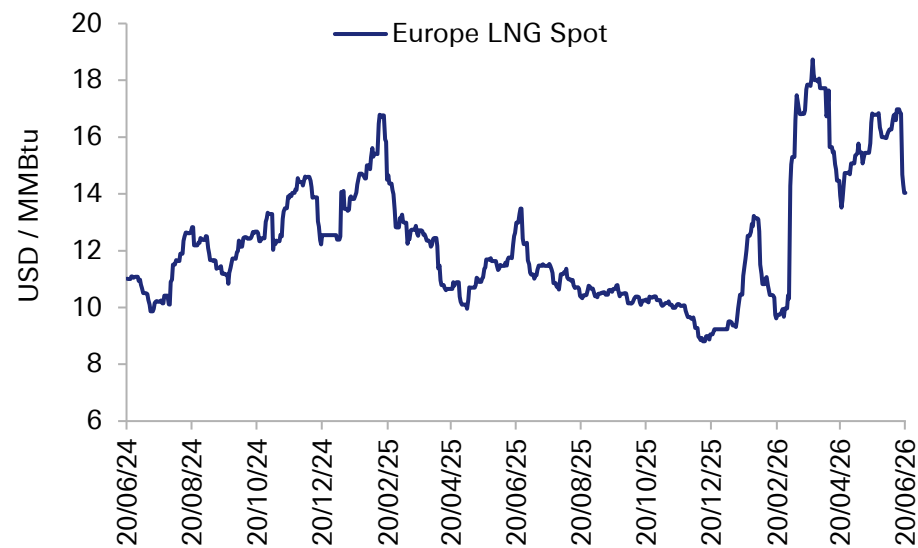
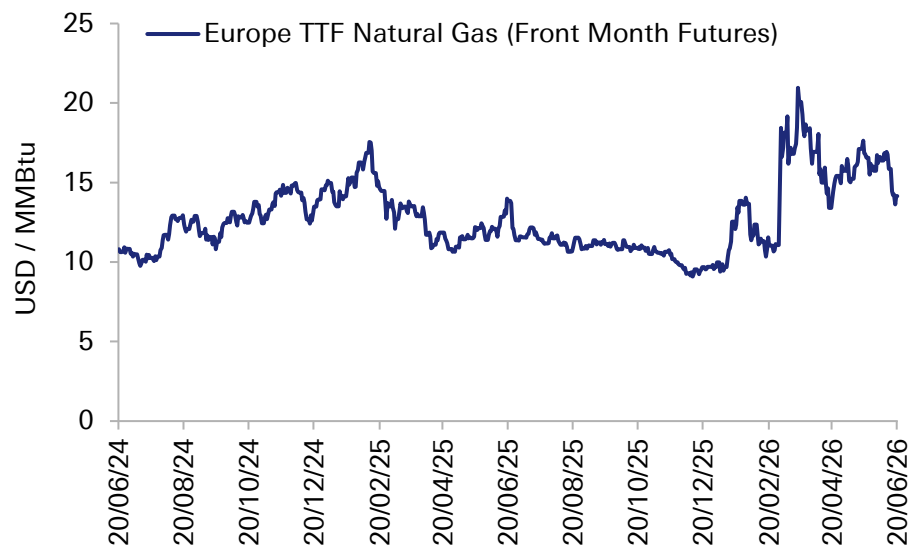
Shipping Rates



Source: Clarksons Research Services Limited, Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

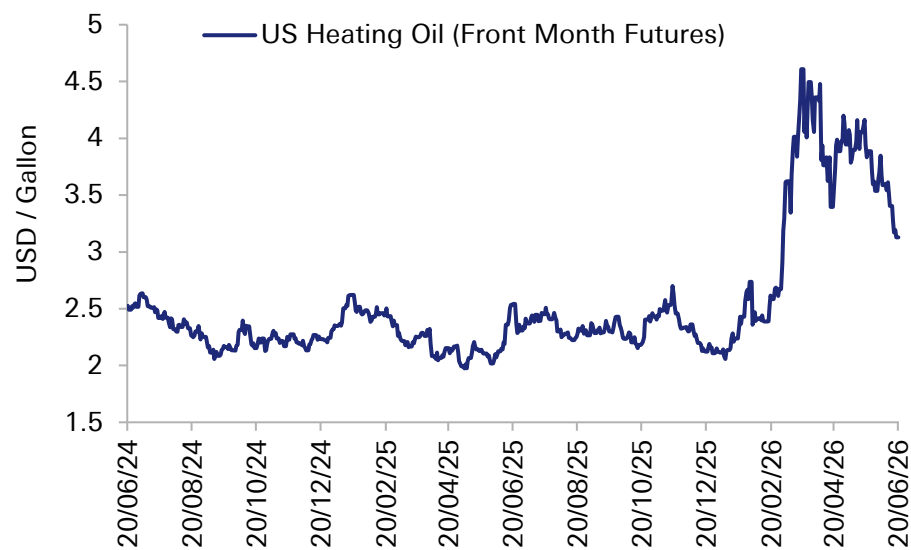
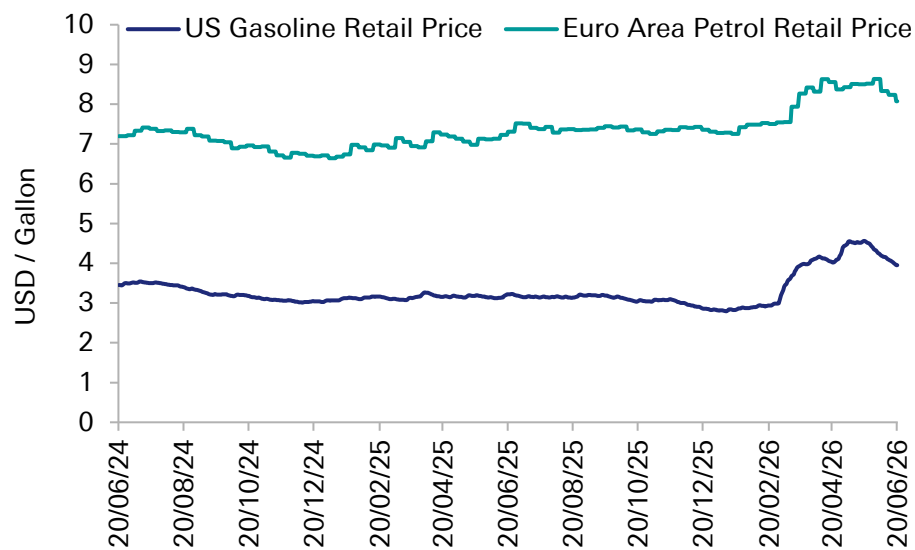
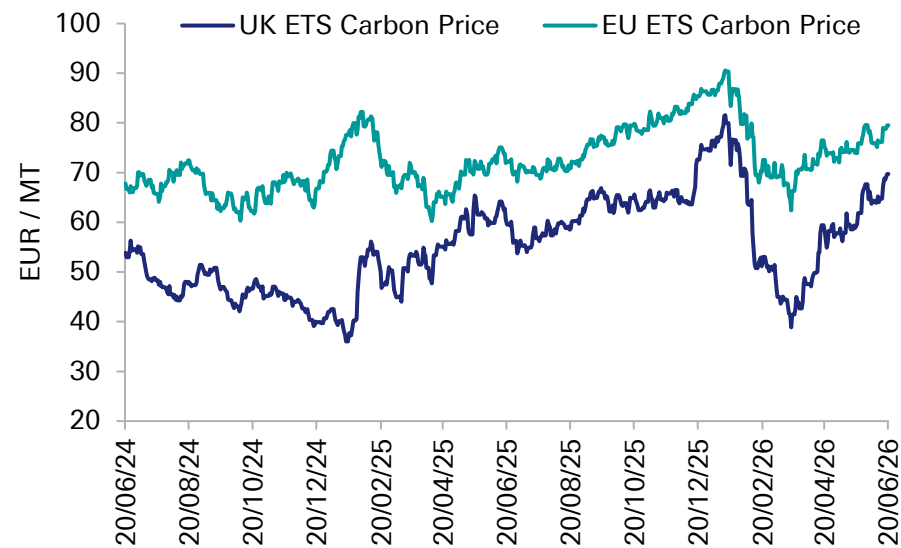
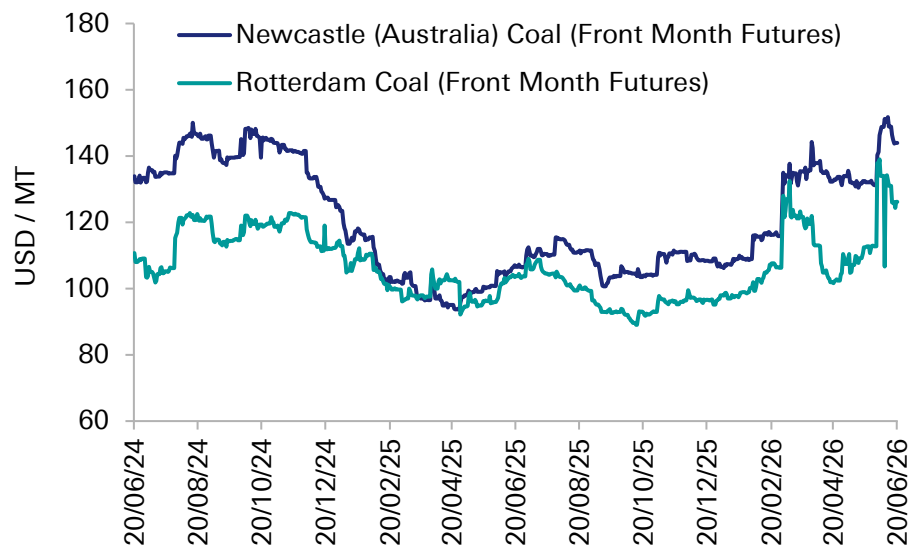
Natural Gas and LNG



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

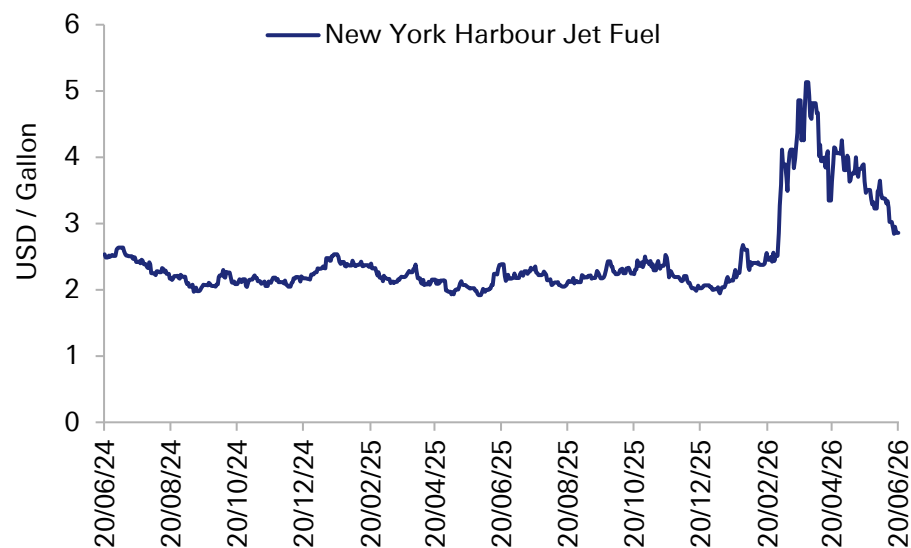
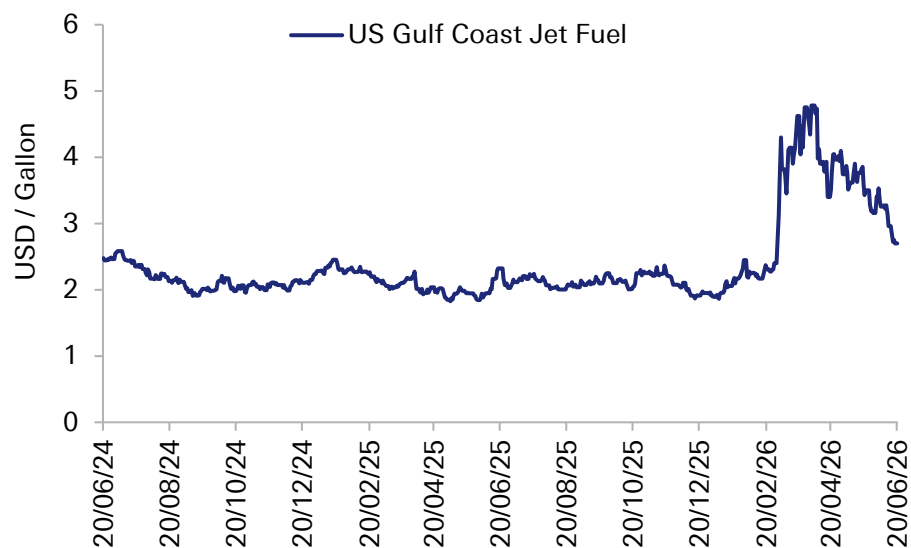
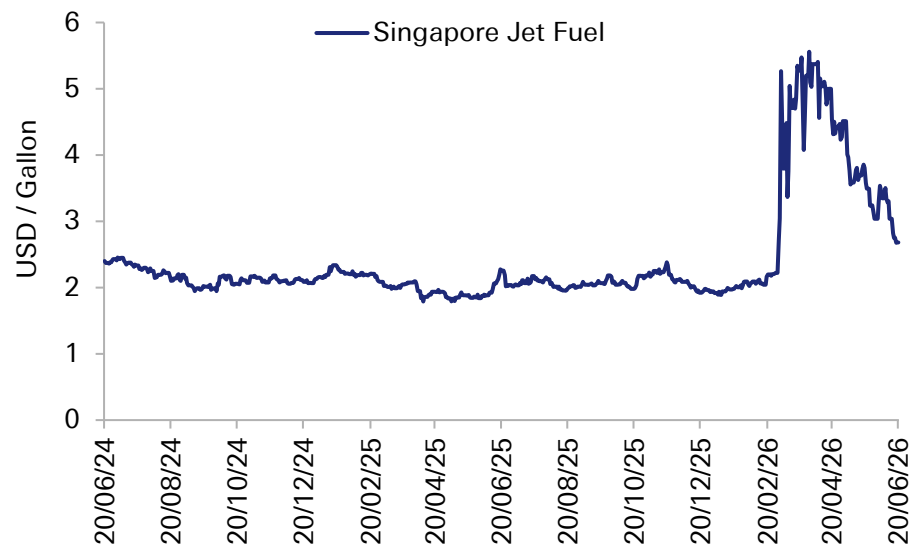
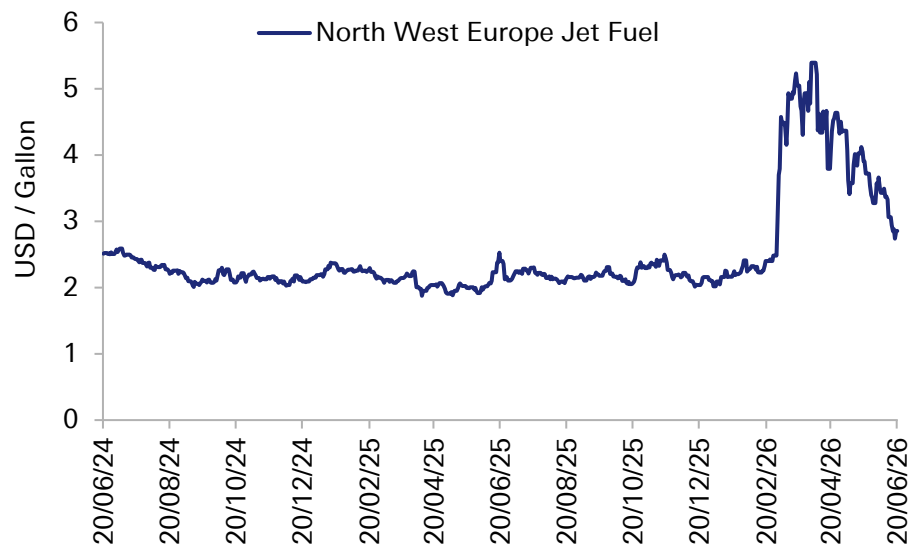
Coal, Carbon, Gasoline / Petrol and Heating Oil



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

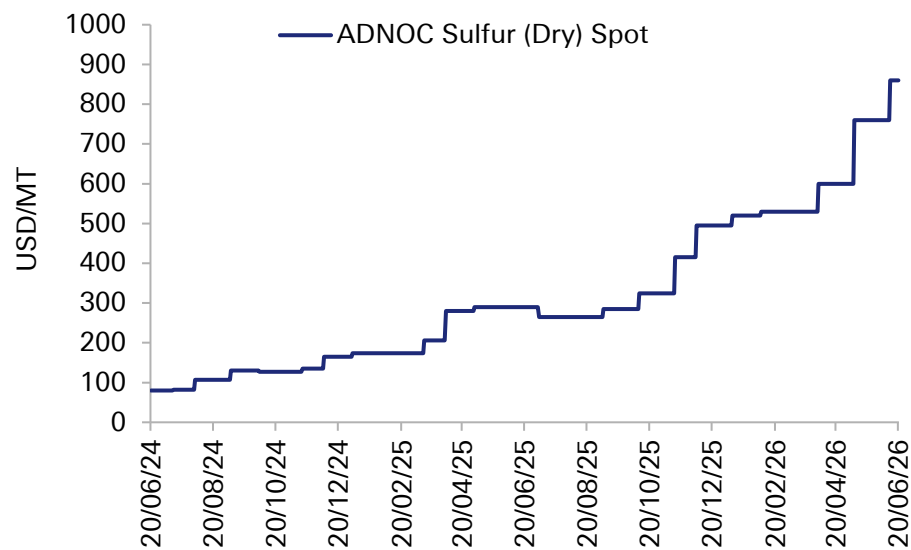
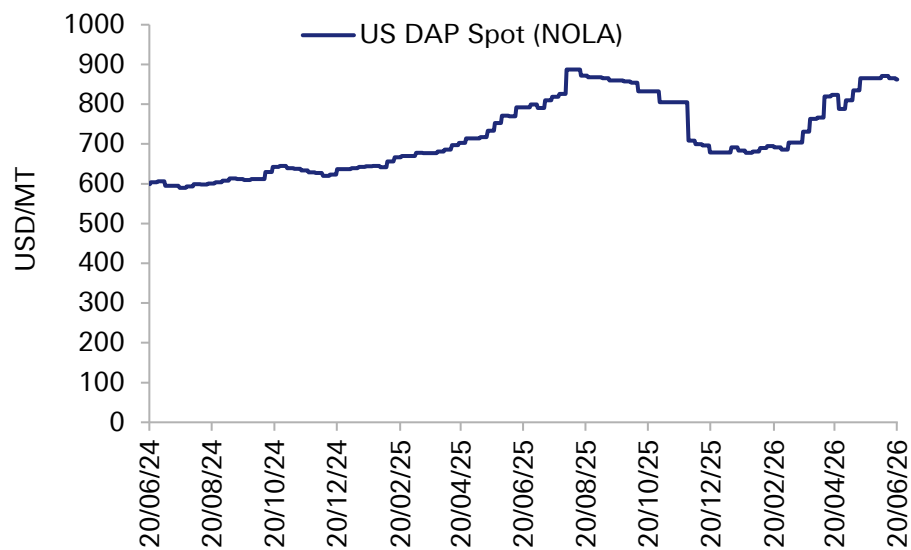
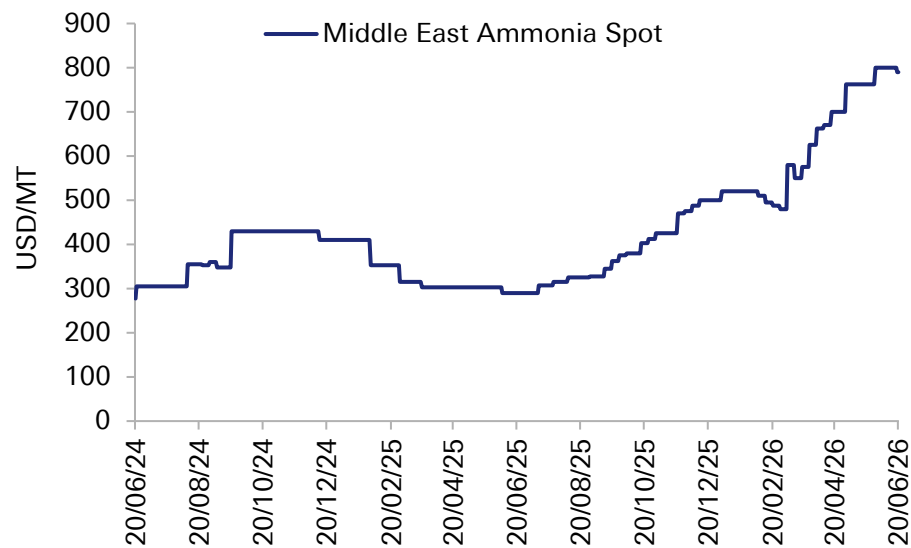
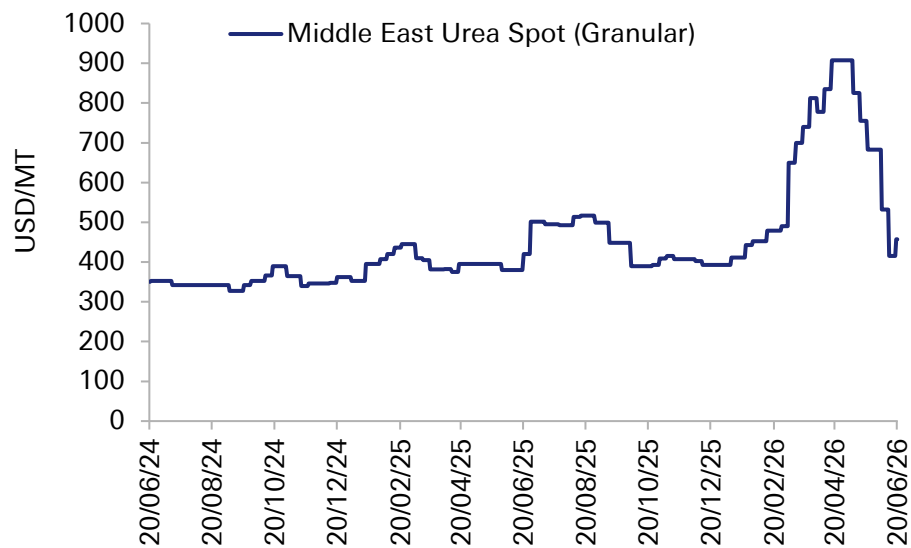
Jet Fuel



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

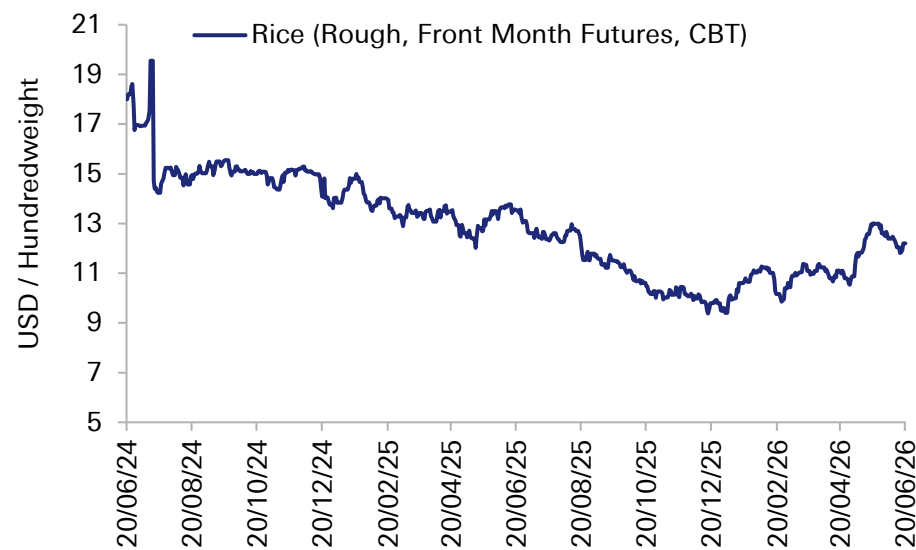
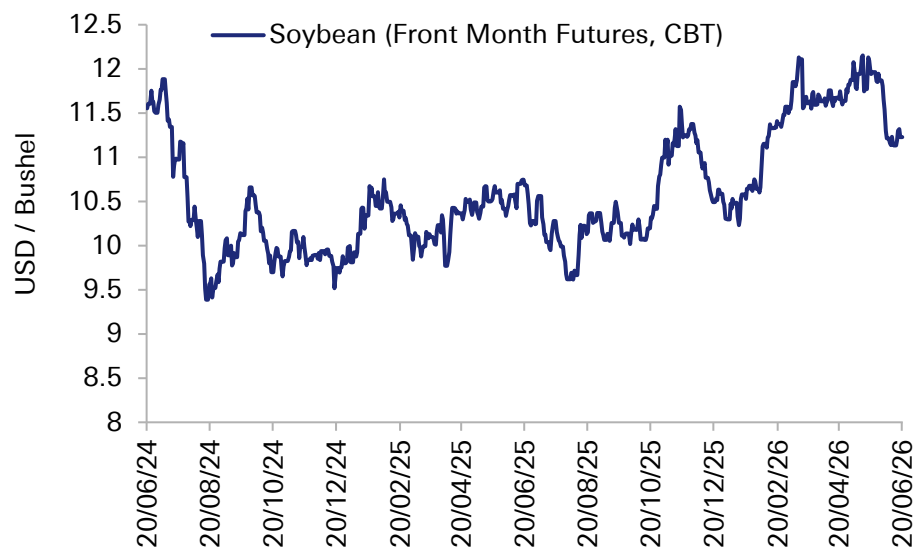
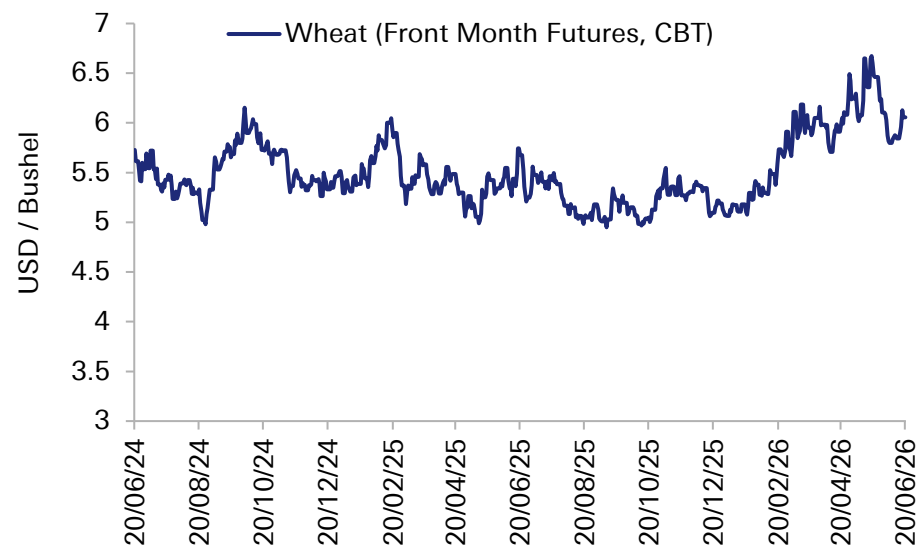
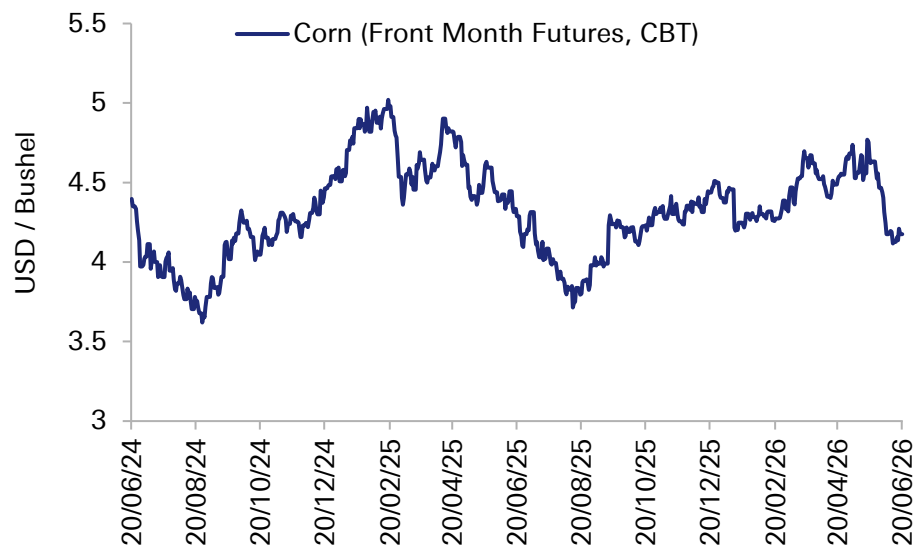
Fertiliser



Source: Bloomberg Finance L.P., Deutsche Bank Research

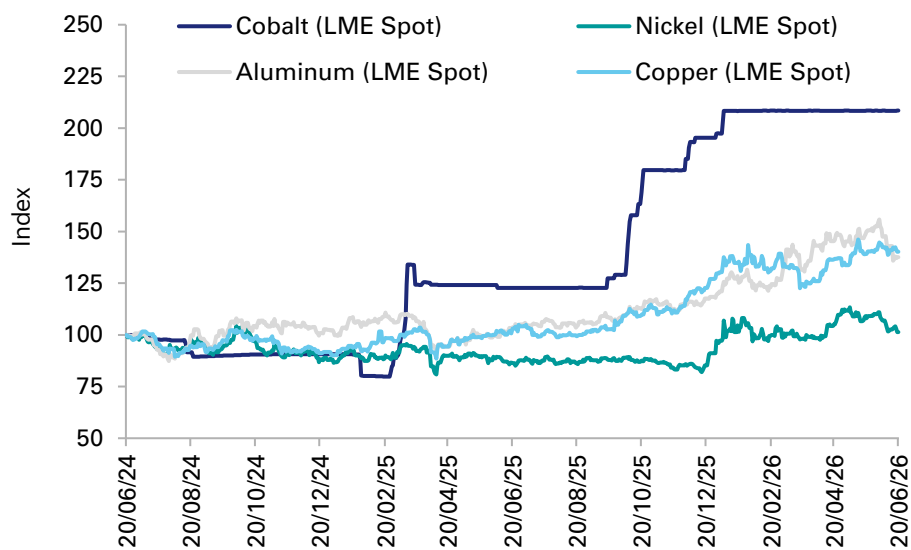
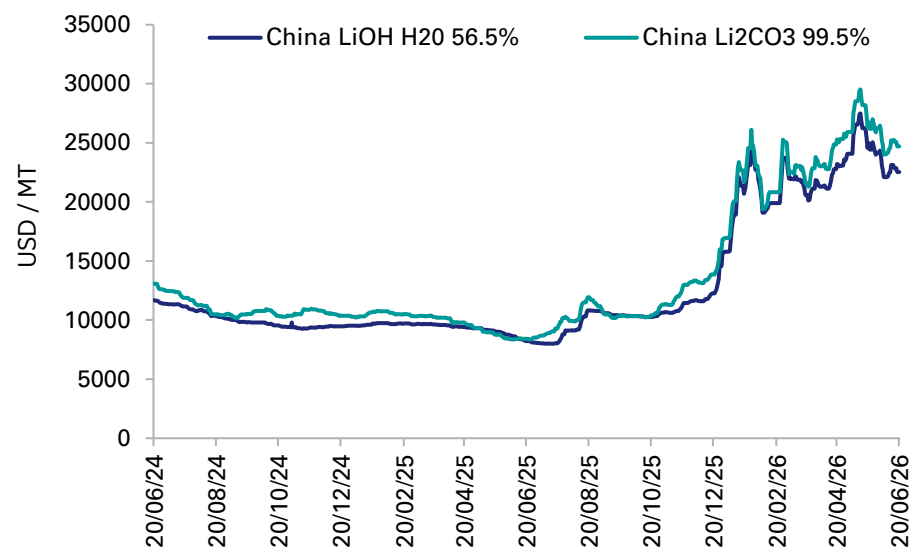
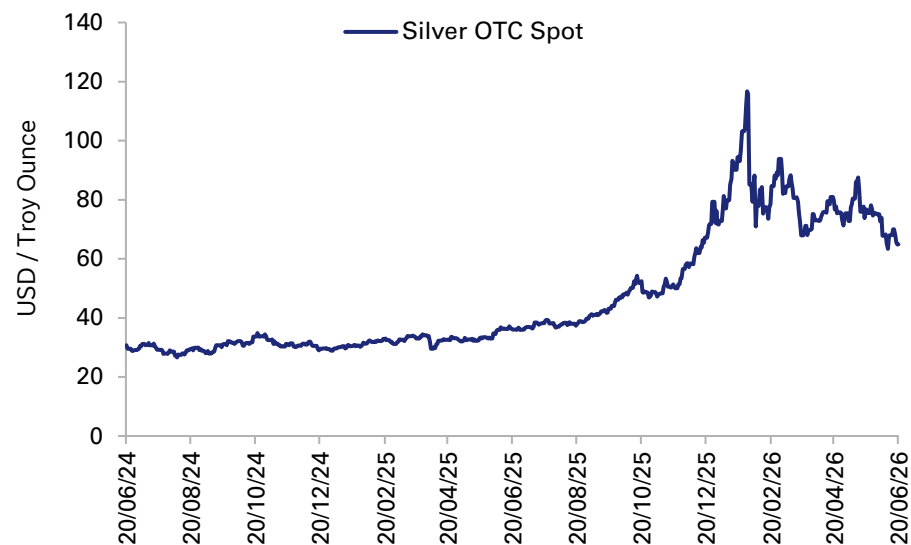
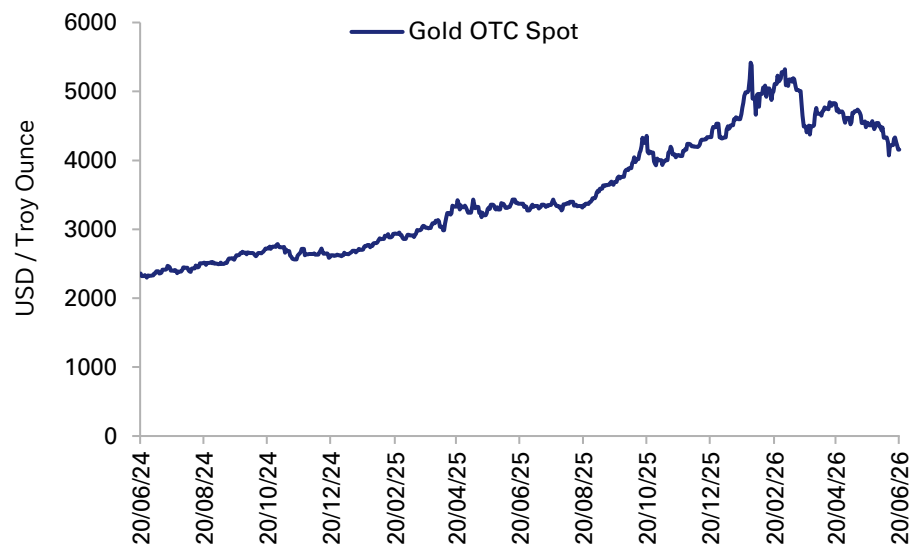
Appendix A – Key Exposures and Economic Indicators

Agriculture



Source: Bloomberg Finance L.P., Deutsche Bank Research

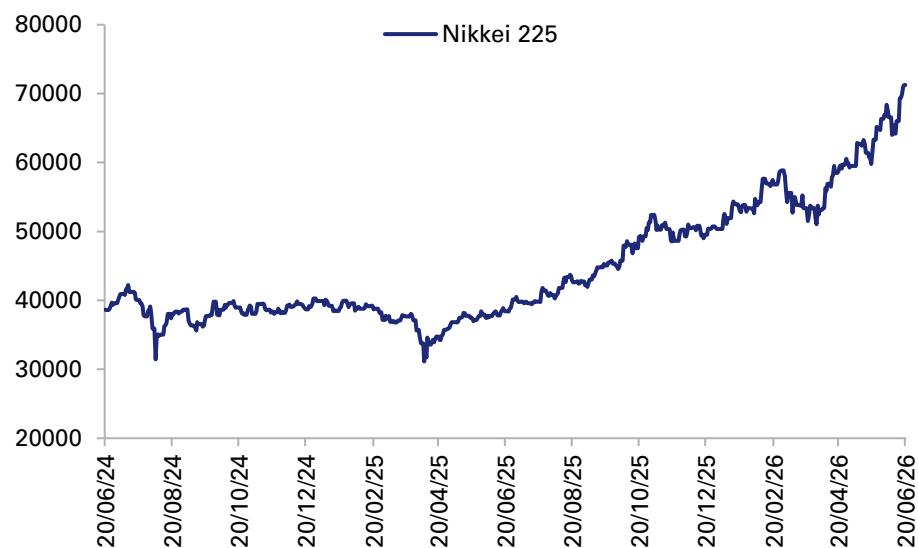
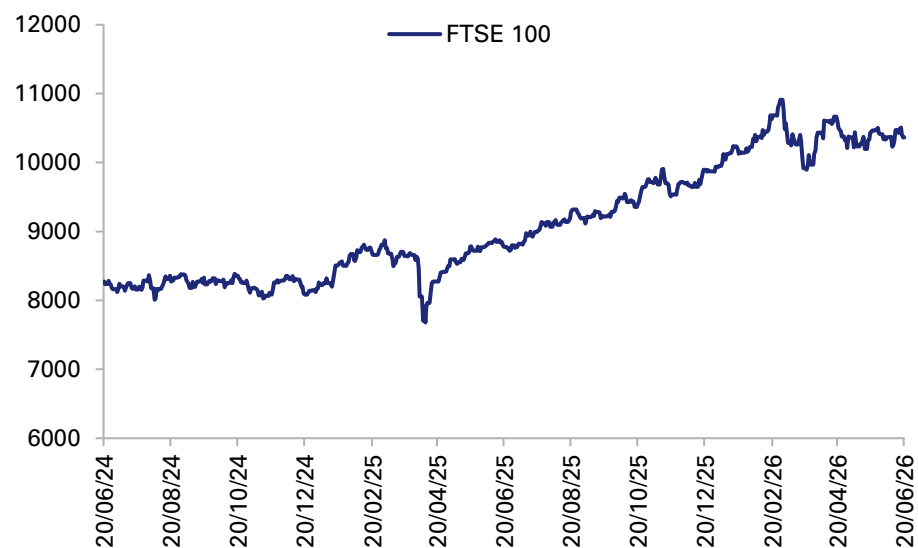
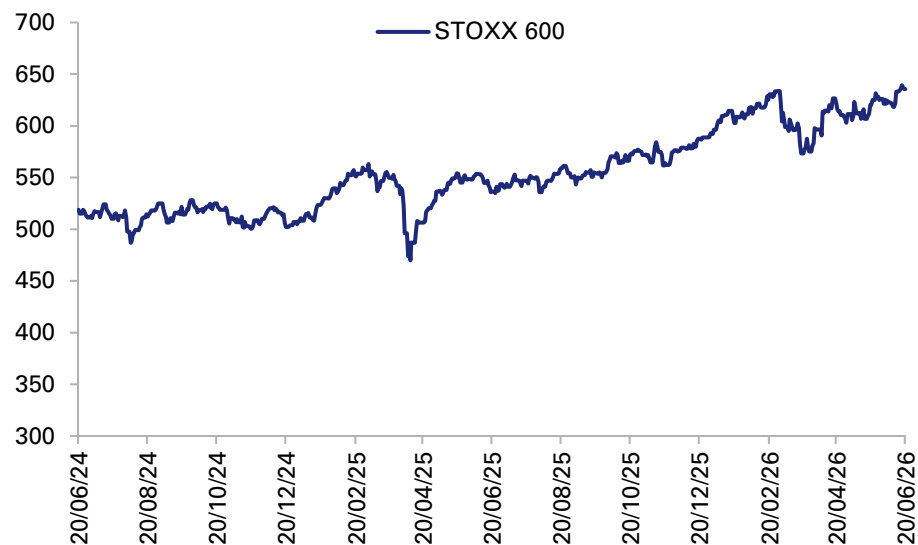
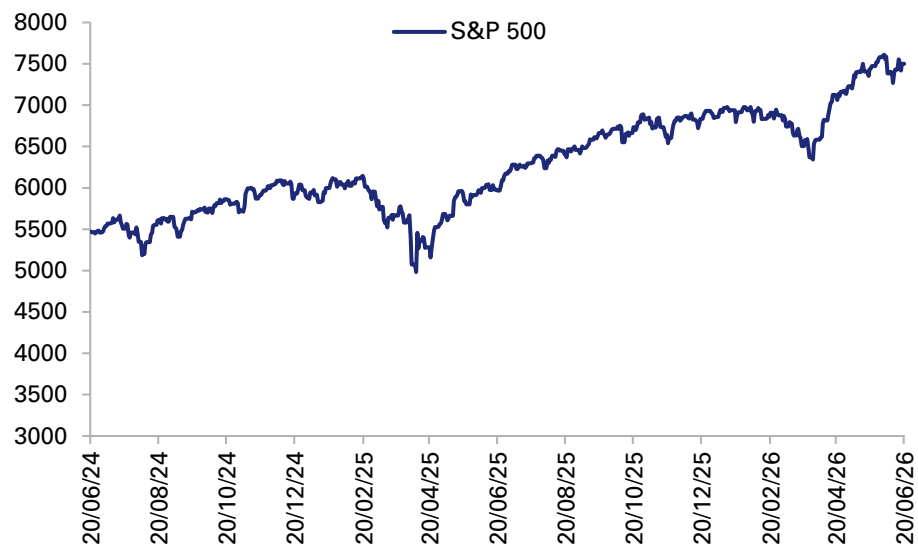
Appendix A – Key Exposures and Economic Indicators Metals



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

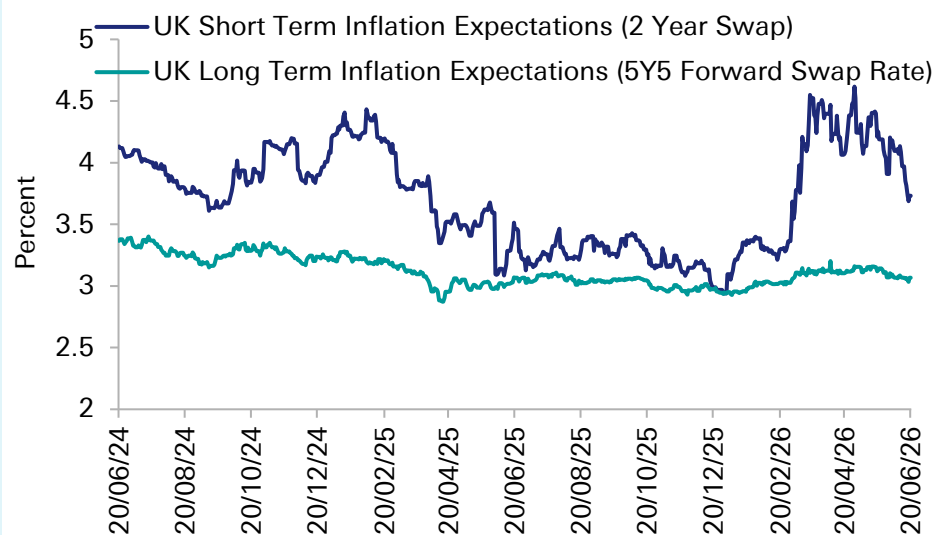
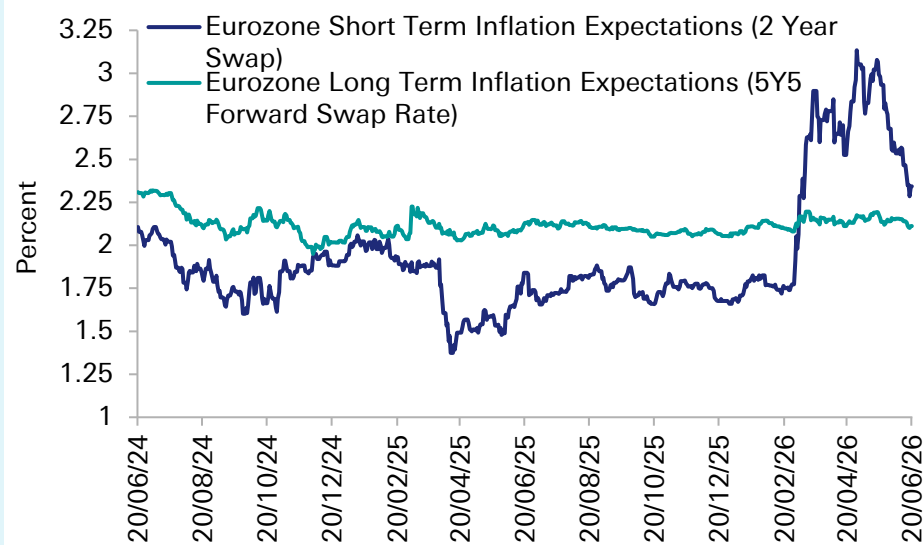
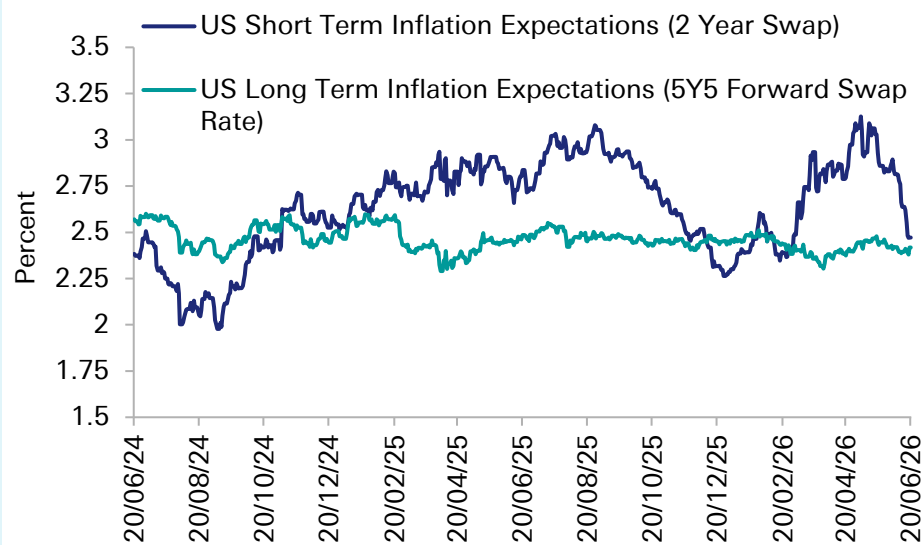
Equities



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

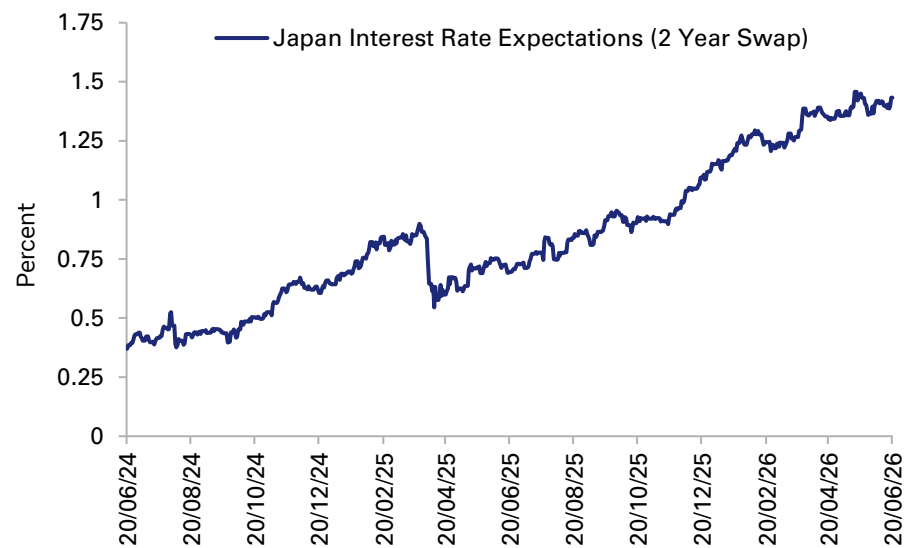
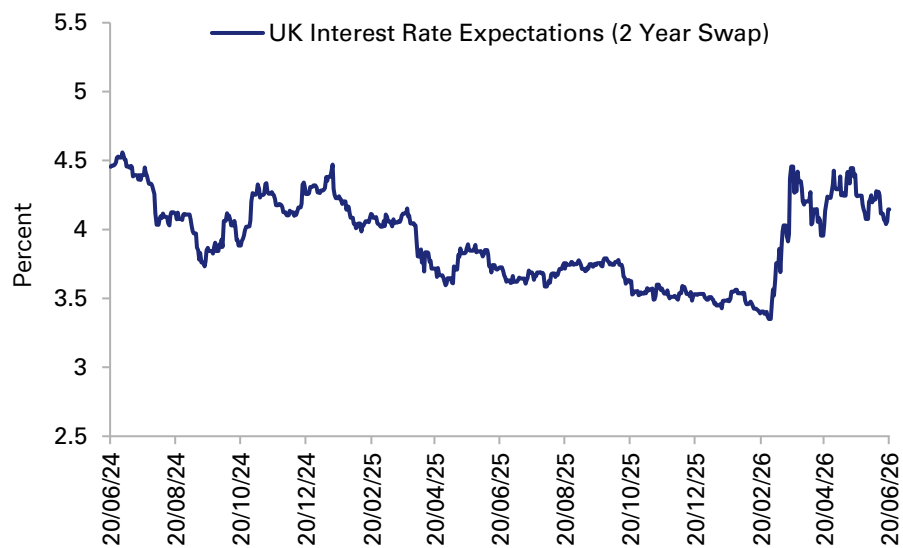
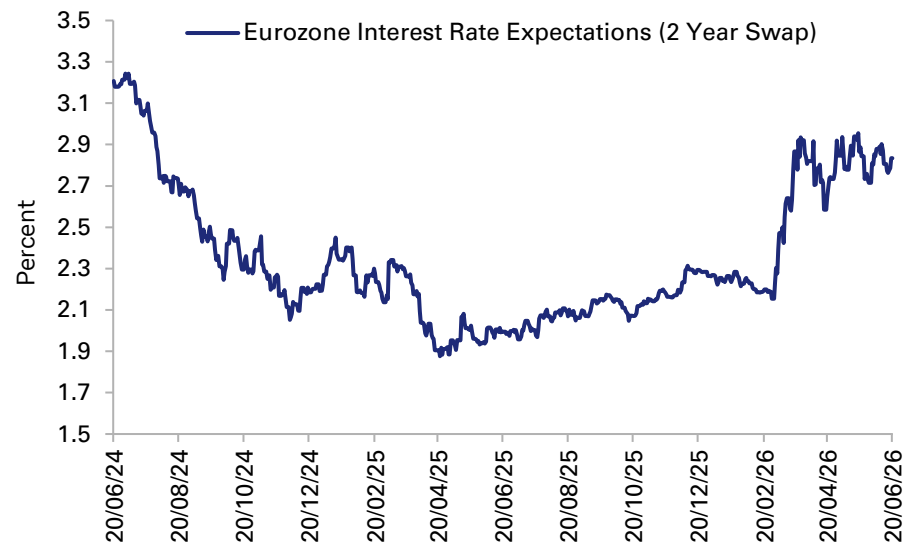
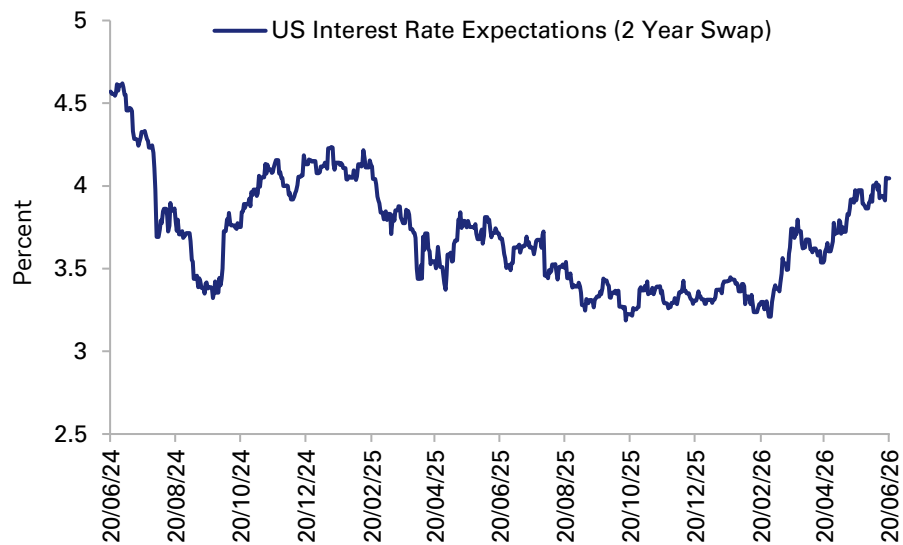
Inflation Rate Expectations



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix A – Key Exposures and Economic Indicators

Interest Rate Expectations



Source: Bloomberg Finance L.P., Deutsche Bank Research

Appendix B: Consolidated source notes by section

Deutsche Bank research was used as the primary analytical framework, supplemented by the external sources listed below.



Report Section	Sources
Macro / financial transmission and post-war geopolitical frictions	Deutsche Bank research, including World Outlook (1 June 2026); IMF, OECD, World Bank; Reuters, Bloomberg and market reporting on equities, bonds and FX; reporting and public-source material on post-war Strait governance, tolling and maritime control; LNG repair-timeline reporting; Oxford Institute for Energy Studies / Oxford Energy scenario modelling on LNG and European gas-market spillovers; Dallas Fed scenario analysis on oil-price pass-through to US inflation; Kiel Institute work on energy bottlenecks and food-security spillovers; Asia Global Institute regional analysis on Europe/Asia/US exposure by fuel type; UNCTAD material on trade and development effects of Hormuz disruption.
Shipping and maritime logistics	Sources: Deutsche Bank research; IEA; Reuters, Bloomberg, Lloyd's List; UNCTAD; Clarksons; IMO/maritime authority reporting; maritime security and mine-clearance reporting; container-fleet exposure / vessel-tracking reporting; OECD/BEA.
Crude oil market	Sources: Deutsche Bank research; IEA; World Bank; OECD; Reuters, Bloomberg, EIA; DOE/SPR materials; crude production and export market reporting; Dallas Fed scenario analysis on the pass-through from oil-price shocks to US inflation; Asia Global Institute regional analysis on Hormuz crude dependence, Asian stockpiles and bypass-pipeline limits.
Refined petroleum products	Sources: Deutsche Bank research; IEA; Reuters, Bloomberg, CNBC, API, S&P Global, Financial Times; refining-margin and middle-distillate market reporting; airline and airspace reporting; Asia Global Institute regional analysis on Europe's jet-fuel and distillate dependence versus lower direct crude dependence. Boston Warwick.
LNG	Sources: Deutsche Bank research; IEA; Reuters, Bloomberg, S&P Global; LNG buyer-country and force-majeure reporting; Oxford Institute for Energy Studies / Oxford Energy scenario modelling on LNG export-capacity loss, European storage effects, and regional demand destruction under short and prolonged Hormuz-closure scenarios; Asia Global Institute regional analysis on Asian and European LNG dependence.
Fertilizers	Sources: Deutsche Bank research; IFA, IFASTAT, World Bank, UNCTAD; Reuters, Bloomberg, CNBC; Kiel Institute work on Hormuz-related energy and food-security risks; World Economic Forum summary material on fertilizer, sulfur and downstream agricultural exposure; Asia Global Institute regional analysis on fertilizer-export exposure and import-dependent regions.
Petrochemicals	Sources: Deutsche Bank research; ICIS, Wood Mackenzie; Reuters, Bloomberg.
Helium	Sources: Deutsche Bank research; USGS; Reuters, Bloomberg, CNBC, C&EN, Centre for Materials and Resilience; LNG/helium linkage and Pearl GTL reporting; World Economic Forum summary material on semiconductor and healthcare exposure to helium shortages.
Aluminum	Deutsche Bank research; International Aluminium Institute; Reuters, Bloomberg, CNBC, S&P Global; OECD/BEA; World Economic Forum summary material on Gulf aluminium's role in traded supply and exchange-stock withdrawals.



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